BANK OF THAILAND

Monetary Policy Report

June 2014

Monetary Policy Report

The *Monetary Policy Report* is prepared quarterly by staff of the Bank of Thailand with the approval of the Monetary Policy Committee (MPC). It serves two purposes: (1) to communicate to the public the MPC's consideration and rationales for the conduct of monetary policy, and (2) to present the latest set of economic and inflation forecasts, based on which the monetary policy decisions were made.

The Monetary Policy Committee
June 2014

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Monetary Policy in Thailand

The Monetary Policy Committee

Under the Bank of Thailand Act, the Monetary Policy Committee (MPC) comprise of the Governor and two deputy Governors, as well as four distinguished external members representing various sectors of the country, with the aim to provide monetary policy decisions that are effective and transparent.

The Monetary Policy Objective

The MPC sets monetary policy with the objective to support sustainable and full potential economic growth, without causing inflationary problems or economic and financial imbalances or bubbles.

The Monetary Policy Target

On December 4, 2013, the MPC and the Minister of Finance signed a Memorandum of Understanding to continue using the quarterly average core inflation with the range of 0.5-3.0 percent as monetary policy target for 2014. However, due to the dissolution of parliament on December 9, 2013, approval of the proposed target must come from the new Cabinet which is yet to be established. In the meantime, the MPC shall continue to use the old monetary policy target until formal approval can be sought.

The Monetary Policy Instrument

The MPC utilizes the 1-day bilateral repurchase transaction rate as the key policy rate to signal the monetary policy stance.

Evaluating economic conditions and forecasts

The Bank of Thailand considers information from all sources, the macroeconomic model, data in each economic sector, as well as direct opinions from large enterprises and small and medium-sized enterprises from all over the country, and various financial institutions to ensure that economic evaluations and forecasts are accurate and covers all aspects, both in the macro and micro levels.

Monetary Policy Communication

Recognizing the importance of Monetary Policy communication to the public, the MPC arrange many forms of communication, both in Thai and English, such as (1) organizing a press statement at 14.00 hrs. on the day of the meeting, (2) publishing Minutes of the MPC meeting two weeks after the meeting, and (3) publishing the Monetary Policy Report every quarter.

Monetary Policy Report

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Growth and Inflation Prospects and Monetary Policy

1. Growth and Inflation Prospects and Monetary Policy

In 2014, the Thai economy was expected to expand at a significantly slower pace than previously projected. This was due to weaker domestic demand momentum in the beginning of the year from the prolonged political uncertainty which affected public spending, as well as household and business sentiment, coupled with sluggish export recovery. Nevertheless, after the new political development in the second half of the year, the public sector should be able to increase spending, while private confidence should also pick up, which would help boost domestic demand. Improvement in domestic conditions together with strong export recovery would help support the economy to gradually return to normal conditions in 2015. Meanwhile, inflationary pressure edged up slightly from the previous projection, mainly owing to the pass-through of LPG cost to food prices, while demand pressure remained soft in line with the economic slowdown.

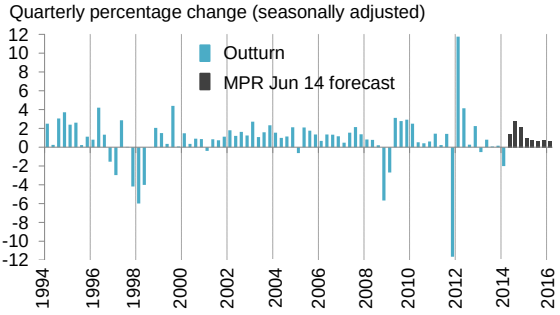
In the past two meetings, the MPC voted to hold the policy rate at 2.00 percent per annum. The MPC deemed the political uncertainty to be the main risks to growth, while financial conditions did not hinder domestic spending and the current policy rate level remained appropriately supportive of economic recovery.

1.1 Growth and inflation prospects

The Thai economy was likely to expand at a slower pace than previously projected, while inflationary pressure edged up slightly from higher costs.

In 2014, the Thai economy was poised to expand at a significantly lower rate than previously projected, owing to much weaker economic momentum in the first quarter of the year, where private spending softened in line with the economic slowdown. Meanwhile, the prolonged political uncertainty restricted public spending, particularly in public investment, as well as reduced

Chart 1.1 Thailand's Quarterly GDP growth



Source: Office of the National Economic and Social Development Board and calculation by Bank of Thailand
Note: At 1988 prices (seasonally adjusted)

the number of foreign tourists. At the same time, the export sector recovered slowly given the marginal increase in external demand and limitations in production technology. Nevertheless, in the second quarter of the year, household and business spending started to stabilize.

The MPC assessed that in the latter half of the year, **the overall economy was likely to pick up and retain momentum to expand close to its normal level in 2015.** This was supported by lower political uncertainty, a functioning government and a pickup in private sentiment. As a consequence, domestic spending would improve and regain its role as driver of growth together with the export sector, which should recover more concretely in the latter half of the year **(Chart 1.1 and Table 1.1)**.

Table 1.1 Forecast summary

Percent	2013*	2014	2015
GDP growth	2.9	1.5	5.5
Headline inflation	2.2	2.6	2.5
Core inflation	1.0	1.7	1.4

Note: * Outturn
Source: Office of the National Economic and Social Development Board and calculations by Bank of Thailand

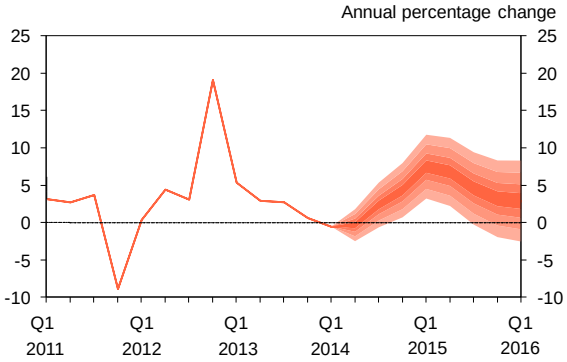
Risks that Thai economic growth would deviate from the previous assessment stemmed from both domestic and external factors. Downside risks included the political situation which could put a dent in foreign tourist confidence and lower tourist revenue by greater than expected. Moreover, limitations in Thailand's production technology could undermine the benefits of the global economic recovery on Thai exports. As a result, the Thai economy could recover at a slower pace than assessed.

Meanwhile, upside risks to economic growth would stem from quick and efficient public spending and a better-than-expected global economy. These factors would help improve private sector sentiment and their financial position, as well as boost household spending, expand business investment, and improve productivity by more than expected.

On the whole, the MPC viewed that **the probability of the economy expanding lower than projected was similar to the probability of the economy expanding beyond the baseline case. The fan chart for growth was, therefore, balanced throughout the projection period (Chart 1.2).**

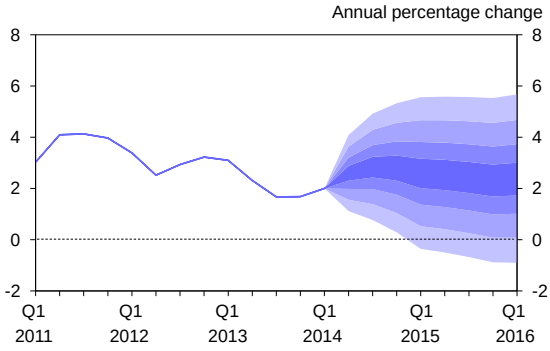
Inflation projections for both headline and core inflation edged up slightly from the pass-through of household LPG gas price, which had been increasing gradually since last year, to food prices. Nevertheless, going forward cost pressure should remain stable in line with oil prices and the government's policy to freeze fuel prices. Meanwhile, **demand pressure eased slightly** in line with softer economic conditions **(Table 1.1)**. However, in 2014 H2, inflationary pressure from the demand side was poised to edge up somewhat following accelerated domestic spending and export recovery. The MPC thus assessed that risks to inflation, both headline and core inflation, tilted towards the upside, owing to higher upside risks from Dubai oil prices and higher-than-assessed pass-through of costs to good prices during the economic recovery **(Charts 1.3 and 1.4)**.

Chart 1.2 GDP growth forecast



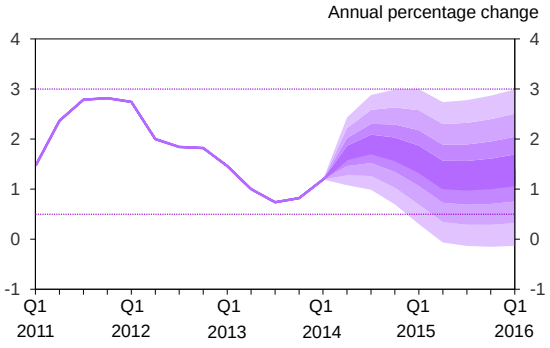
Note: The fan chart covers 90 percent of the probability distribution.

Chart 1.3 Headline inflation forecast



Note: The fan chart covers 90 percent of the probability distribution.

Chart 1.4 Core inflation forecast



Note: The fan chart covers 90 percent of the probability distribution.

1.2 Economic outlook

Domestic demand was poised to grow at a slower pace following weaker economic momentum in the beginning of the year, particularly in government and private spending. At the same time, exports recovered at a slow pace, while political uncertainties weighed on tourism. However, once the political situation subsides the economy should pick up and resume normal growth in 2015.

The Thai economy was poised to expand at a lower rate this year

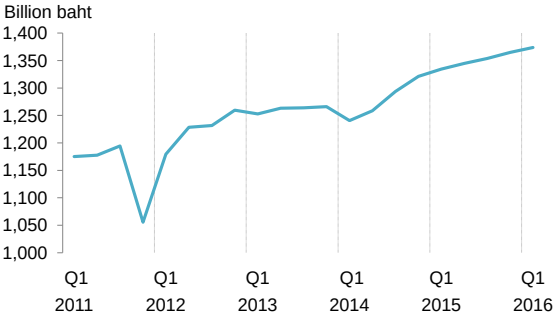
In 2014, the Thai economy was poised to grow at a much lower rate than previously assessed, in line with a sharp decline in domestic demand in the first half of the year and the slower-than-expected recovery in exports. In the beginning of the year, household spending lost momentum, particularly from the longer-than-expected payback period of durable goods consumption. Similarly, business investments were also postponed to assess the economic and political situation. Furthermore, the prolonged political problem showed a larger repercussion on tourism as more countries issued travel advisories on Thailand, while public disbursements were limited, especially those on public investment.

Nevertheless, after the new political development at end-May, public policies became more solid. The MPC thus anticipated that the government would be able to accelerate spending, shore up confidence and stimulate private spending to return to normal levels in 2015. Public spending was expected to increase from the acceleration of budget

disbursements, especially those for investment projects that were delayed at the start of the year, while the 2015 budget process would be expedited to keep with the October 1, 2014 schedule. Clearer public policies helped shore up private confidence, and when coupled with the conclusion of the payback period of durable goods consumption, household spending should pick up, while businesses should resume investments for productivity enhancement and labor replacement which were previously postponed. Moreover, subsiding political tension would help the tourism sector to resume normal growth towards the end of the year. The pickup in domestic demand and tourism would help drive the Thai economy together with exports which were expected to recover more solidly in the latter half of the year in tandem with trading partners' better growth momentum.

Although the economy was inclined to recover in the second half of the year, it would not be able to offset the substantially weak momentum in the beginning of the year. In addition, gains from public investment would be observed more evidently in 2015. As a result, the economy was likely to grow at a lower rate in 2014 **(Chart 1.5 and Table 1.2)**. Nonetheless, stronger momentum in end-2014 would continue into 2015 and lead to higher economic growth. This increase would be supported by larger fiscal stimulus after the promulgation of the annual budget, particularly for investment projects, as well as the resumption of normal private spending levels, and solid export recovery thanks to the global economic recovery and the alleviation of some production problems.

Chart 1.5 Level of GDP



Source: Office of the National Economic and Social Development Board and calculation by Bank of Thailand
Note: At 1988 prices (seasonally adjusted by the Bank of Thailand)

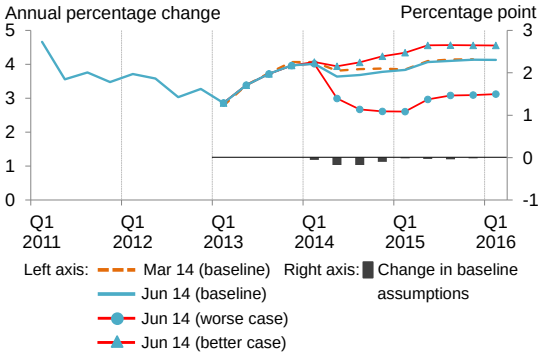
Table 1.2 Forecasts for GDP and components		
Percent	2014	2015
GDP growth	1.5	5.5
Domestic demand	0.1	6.1
Private consumption	0.2	4.7
Private investment	-2.6	11.2
Government consumption	3.5	2.7
Public investment	1.1	9.7
Exports of goods and services	2.5	7.6
Imports of goods and services	-1.4	9.9

Note: At 1988 prices

The global economy should recover steadily

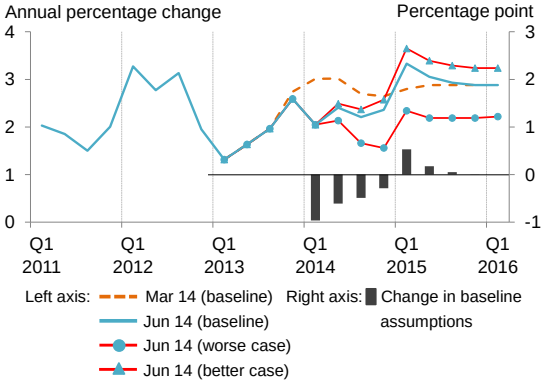
The global economy recovered steadily, led by the U.S. and euro area economies. Growth, however, was marginally lower than previously expected, particularly in Asian economies.

Chart 1.6 Growth assumptions for Thailand's trading partners



Note: Weighted by each country's share in Thailand's total exports

Chart 1.7 Growth assumptions for the U.S.



Thailand's trading partner economies were poised to recover continuously, although economic momentum weakened slightly from the previous assessment (Chart 1.6). This was due to the higher-than-expected deceleration in the Japanese economy following the hike in consumption tax, while Asian economies moderated in tandem with domestic spending. The U.S. economy was expected to improve steadily, supported by a pickup in private spending and employment. Euro area economies should also recover gradually.

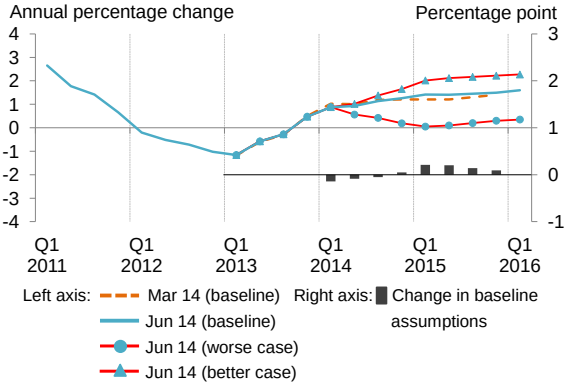
The U.S. economy was expected to pick up continuously (Chart 1.7), despite a slight deceleration in the first quarter of the year due to the temporary effect of severe winter conditions. The continual pickup would be attributed to a more solid economic recovery in the latter half of the year

thanks to improvements in private spending and the labor market, as well as the private sector's stronger financial position on the back of rising house prices, together with the accommodative monetary policy stance. Meanwhile, limitations on public spending stemming from the sequestration and restrictions on sovereign debt abated. Nevertheless, the U.S. economic recovery would hinge on recovery of the real estate sector which could come to a halt from rising long-term interest rates following the Fed's gradual unwinding of its quantitative easing measures (QE Tapering).

The continual economic recovery led the Fed to gradually taper its asset purchases to 45 billion U.S. dollars in April. The Fed also signaled that it would continue to hold the fed funds rate at 0-0.25 percent per annum for some time to retain continuous economic momentum even after employment and inflation rates approach their target levels. The MPC assessed that the Fed would hold the fed funds rate at the current level for some time before raising the rate in 2015 Q4.

Euro area economies would recover gradually after having broken out of recession earlier this year (Chart 1.8). Euro area economies were likely to recover continuously thanks to gradual improvements in domestic spending and exports. Nonetheless, economic recovery remained fragile on the back of (1) high unemployment rates; (2) persistent contractions in corporate loans; and (3) the deleveraging process in both private and public sectors.

Chart 1.8 Growth assumptions for the euro area

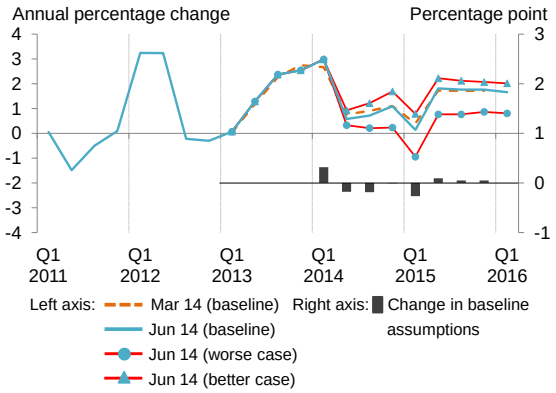


Risks of too prolonged a period of low inflation increased somewhat. Inflation expectations, however, still indicated that inflation would adjust towards the central bank's target in the medium-term. Furthermore, additional accommodative

measures by the ECB in its June 2014 MPC meeting[1/] helped shore up confidence that the ECB would be willing to ease policies further should risks increase going forward. This should somewhat benefit economies, especially periphery countries where lending rates were much higher than those in major countries.

The Japanese economy was likely to expand at a slightly lower rate than previously assessed due to the higher-than-expected impact from the consumption tax hike[2/] (Chart 1.9). The Japanese economy accelerated earlier in the year, but lost momentum after consumption tax was increased, which particularly slowed down household spending. Nevertheless, the economy was expected to pick up gradually, supported by the government's 5.5 trillion yen stimulus package which included investments to repair for damages caused by natural disasters, as well as the likely pickup in exports following trading partners' economic recovery and weaker yen.

Chart 1.9 Growth assumptions for Japan



Looking ahead, risks to the Japanese economy included higher-than-expected repercussions from the consumption tax hike, while government stimulus measures may be able to compensate the economic slowdown only slightly. As a result, the Bank of Japan would maintain its accommodative

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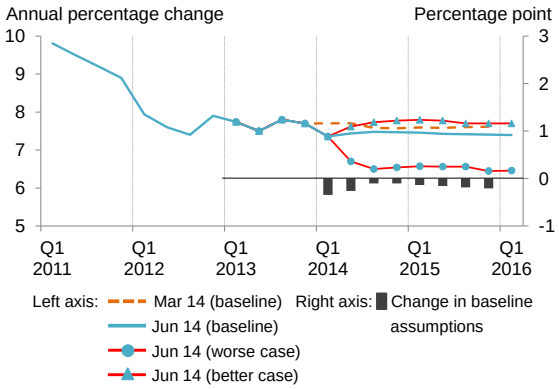
[1/] Includes: (1) lower the interest rates of all financial products, thereby causing the Refinancing Rate, the Marginal Lending Rate, and the Deposit Rate, to decrease to 0.15, 0.4 and -0.1 percent per annum, respectively; (2) provide liquidity assistance to commercial banks for long-term financing, also known as Targeted Longer-term Refinancing Operation (TLTROs); (3) withdraw the Securities Markets Program (SMP); and (4) study and formulate plans to purchase Asset Backed Securities (ABS).

[2/] The Japanese government increased the consumption tax rate from 5 to 8 percent on April 1, 2014.

monetary policy stance for some time, holding the policy rate and retaining its plan to increase the monetary base (Q-squared) by 60-70 trillion yen a year. As such, once inflation accelerates and the output gap starts to narrow from mid-year onwards, the possibility of additional policy easing should decline.

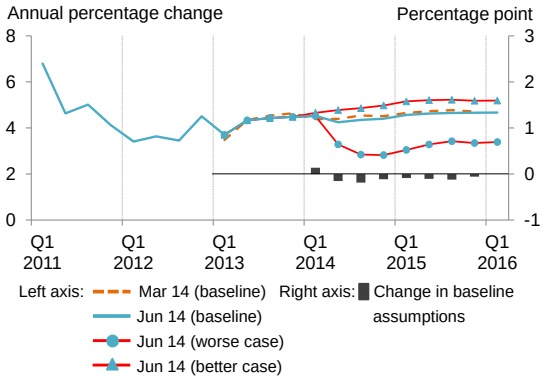
The Chinese economy was expected to expand at a somewhat slower pace than projected (Chart 1.10). Although exports were likely to improve in line with U.S. and euro area demand, domestic spending was poised to slow down. The slowdown was in part a result of China's policy to rebalance its economic structure by reducing the role of public spending and increasing the role of consumption. The slowdown was also due to measures implemented to control shadow banking loan and liquidity extension to businesses which affected investments and caused real estate prices to decline.

Chart 1.10 Growth assumptions for China



Nevertheless, the Chinese authorities issued policies to mitigate such effects, for example, the implementation of targeted stimulus measures especially for SMEs, which included extending the tax benefit period for SMEs and cutting the reserve requirement ratio (RRR) for local banks. Hence, Chinese economic growth should continue and should be close to the government's target rate. Continual economic expansion would stem from consumption which was supported by strong labor market conditions and high income growth, while investment stabilized. The acceleration in infrastructural investment from expedited public investment and manufacturing investment, which was likely to improve gradually in line with exports, should, to some extent, be able to compensate for the slowdown in real estate investment.

Chart 1.11 Growth assumptions for Asian economies (excluding Japan and China)



Asian economies (excluding Japan and China) were likely to expand at a slower pace than previously assessed (Chart 1.11). This was due to softer economic momentum following the slowdown in domestic spending, particularly in ASEAN member countries which implemented economic restructuring policies to enhance economic stability. Nonetheless, most Asian economies were likely to expand continuously, driven by export growth following stronger demand from the U.S. and euro area economies, which helped offset softer demand from Japan and China.

Nevertheless, going forward, Asia's reliance on exports could be limited as a result of (1) a decline in global trade volume growth given that it would take time for major economies to recover along with the relocation of the upstream production bases to emerging economies which would reduce imports of intermediate goods used in production; and; (2) lower correlation between import volume from Asia and GDP of G3 countries than observed before the 2008 global economic crisis. This reflected that, looking ahead; Asian exports to G3 countries would not expand as high as before the 2008 global economic crisis. As a result, Asian countries may not gain as much from the recovery of major industrialized economies as in the past.

Exports would remain the main engine of growth despite slower-than-expected recovery

Exports of goods were likely to recover at a slower-than-projected pace, while exports of services were further affected by the political situation.

Merchandise exports were likely to expand at a lower-than-expected rate, due to sluggish increase in foreign demand in the beginning of the year and constraints in Thailand's production structure (Table 1.3). In 2014 H1, exports of goods recovered at a slightly slower pace than projected, in part due to a slowdown in trading partner demand, particularly from Japan, China and ASEAN countries. In addition, Thailand's manufacturing sector also faced with production technology constraints which undermined its competitive edge in the world market, for example, hard disk drive products. The shrimp disease outbreak problem also posed another limitation on production. Nonetheless, some merchandise exports were likely to recover steadily, for example automobile and parts, electrical appliances, petrochemical, machinery and equipments, and processed agricultural products. Once limitations on fishery exports subside at the end of the year, Thai exports should benefit further from the global economic recovery. This in turn would have a positive impact on household income and shore up business sentiment. However, risks to Thai exports would stem from technological constraints, which could undermine the benefits of a global economic recovery.

Exports of services were likely to decline from the previous projection, in line with lower tourist income due to impacts from the political situation. Tourist income in 2014 was expected to decline from the previous assessment after the political situation in May 2014 led many foreign governments to issue travel advisories and lift the level of travel warning for Thailand, denting tourist confidence. This, together with Thailand's high concentration of East

Asian tourists who are sensitive to political factors, led to a substantial decline in the number of foreign tourists during mid-year. Nevertheless, once the political situation abates, tourist confidence should improve and recover quickly given that Thailand's tourism industry still possesses distinctive strengths and high potential.

The current account balance[3/] was expected to record a surplus in 2014, but would be close to balance in 2015 (Table 1.3). The current account was likely to record a large surplus after showing a deficit in 2013, owing to a contraction in imports during the first half of the year following weak domestic demand. Meanwhile, the current account was likely to trend close to balance in 2015 in response to an increase in import demand for consumer goods, raw materials and intermediate goods, as well as capital goods and machinery, in line with the return of domestic demand to normalcy.

Table 1.3 Forecasts for the external sector

	2014	2015
Growth in value of exports* (F.O.B., percent)	3.0	6.0
Growth in value of imports* (F.O.B., percent)	-3.6	12.0
Trade balance (billion U.S. dollars)*	20.9	9.8
Current account balance (billion U.S. dollars)*	11.7	1.1

Note: *Data revision according to definitions in IMF's Balance of Payments Manual, 6th edition (BPM6), and Ministry of Commerce's revised database

[3/] Including reinvested earnings.

Fiscal stimulus increased after the public sector was able to resume normal functions

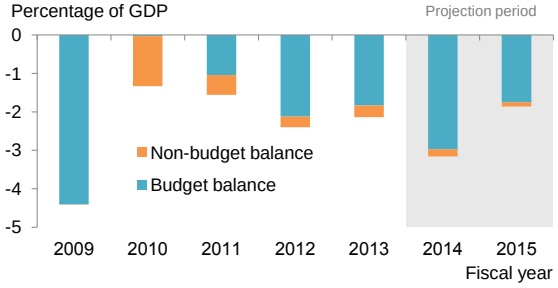
Fiscal stimulus increased from the acceleration of budget disbursements, especially for investment projects, and the promulgation of the 2015 Budget Act which could be enacted under the normal process.

Fiscal policy in 2014 had a greater role in providing economic stimulus than previously assessed (Chart 1.12). In fiscal year 2014, the fiscal deficit was expected to stand at 3.2 percent of GDP, increasing from last year's deficit.

The political situation restricted public spending, particularly investment, in 2014 Q1. However, after the new political development in May, public policies gained clarity and the public sector was able to resume normal functions and accelerate budget disbursements, especially for investment projects. Moreover, public spending would not be delayed thanks to the timely promulgation of the 2015 Budget Act. In addition, measures to expedite public spending would help increase fiscal stimulus beyond the previous assessment.

Assumptions on public spending were adjusted upwards throughout the projection period (Table 1.4) after public agencies were able to resume disbursements under the normal process. In fiscal year 2014, expedition of outstanding budget disbursements, particularly from the capital budget which were postponed from the beginning of the year, would increase the amount of money flowing into the economic system. The MPC anticipated that the disbursement rate for the 2014 budget would stand around 93 percent, and expected that fiscal stimulus would continue in fiscal year 2015 thanks

Chart 1.12 Assumptions on government cash balance



Note: Non-budgetary spending includes (1) the Mega Investment Project (Strong Thailand), (2) the water management project, and (3) the Development Policy Loan (DPL)
Source: Public Debt Management Office and Bureau of the Budget and calculation by Bank of Thailand

to the timely promulgation of the 2015 Budget Act, which would enable the central government, local government and state enterprises to spend steadily. This was in addition to the budget restructuring policy which aimed to reduce subsidy expenditures and increase the proportion of capital expenditures. The capital expenditure partly included investments under the 2 trillion baht Borrowing Bill for the government infrastructure project, selecting only the project that were necessary and ready.

Nevertheless, given the high uncertainty in public investment projects, the MPC considered supplementary expenditures from other investment projects which could increase public spending beyond the baseline case to be an upside risk to economic growth.

Table 1.4 Assumptions on public sector expenditure

Unit: Billion baht	Fiscal year	
	2014	2015
General government consumption	1,714.2	1,760.0
Public investment	687.6	759.5
Total	2,401.8	2,519.5

Note: Includes expenditure assumptions on the water management project and the infrastructure investment project

Source: Bureau of the Budget and calculation by Bank of Thailand

Private spending softened

Private consumption and investment were poised to expand at a slower rate than previously projected, particularly in 2014 Q1. Improvement was expected in the second half of the year in line with the pickup in private confidence after the political situation became clearer.

Private consumption was likely to expand at a lower rate than previously projected, in part due to lower-than-expected momentum from household spending in the first quarter. This was because households continued to spend cautiously given accelerated private spending in previous periods, political uncertainty, and high household debt, while household income grew only marginally. Nevertheless in 2014 Q2, household spending stabilized, while durable goods spending started to show signs of a pickup after the previous payback period.

Furthermore, the MPC assessed that **household consumption was likely to pick up in the latter half of this year and return to normal levels in 2015.** This was supported by improvements in households' financial position, in part due to more concrete public aid policies, such as the expedition of debt payments to farmers under the rice pledging scheme, and the maintenance of people's purchasing power by keeping the value added tax rate unchanged and freezing LPG prices. Improvement in households' financial position also stemmed from more favorable employment conditions and income in line with exports. These factors would strengthen consumer confidence in spending.

Private investment was also expected to expand at a lower rate than previously assessed, particularly in the first half of the year where investments remained stable and provided lower-than-expected momentum. This was because manufacturers delayed investments, both for new projects and capacity expansion, to assess the political situation as well as local and external demand trends. Investments were observed only for necessary replacements and maintenance of machinery and equipments. Construction

companies also deferred investments following a cool down in the real estate market and delays in public investment projects.

Nevertheless, the MPC evaluated that **private investment, especially in machinery and equipments, should start to recover in the latter half of the year**. Some businesses may continue to postpone investments in 2014 Q3 until public spending plans become more concrete, while some still had ample spare capacity. Nevertheless, towards the end of the year, more solid public policies and exports, as well as a pickup in household spending should help shore up business sentiment. This improvement would lead to investment in machinery and equipments for productivity enhancement, as well as increase investment for capacity expansion and for public investment-related projects which were postponed from the first half of the year. Investment momentum should continue into 2015 thanks to new investment projects approved by the Board of Investment (BOI) at end-2014.

Nevertheless, going forward, the MPC assessed that Thailand would be faced with many structural constraints. These included constraints on manufacturers' technology level which could not be modified in a timely manner to keep pace with changing market demands, limitations in the labor market due to labor shortage or skill mismatch, as well as problems regarding high transportation costs, which were in part due to the proportionately high reliance on fuel. These structural limitations could affect long-term investment decisions on capacity expansion if manufacturers and the government do not cooperate to resolve these issues.

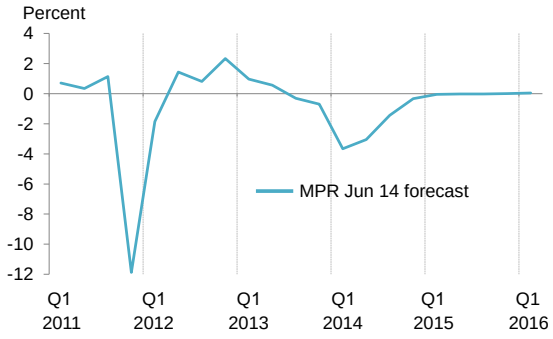
Inflationary pressure was likely to edge up

Inflationary pressure edged up higher than expected, owing largely to the pass-through of rising LPG costs to prepared food prices in past periods along with economic recovery in the latter half of the year.

Inflation was poised to increase in line with food prices due to the slightly higher-than-projected pass-through of costs from household LPG prices which had been increasing gradually since end-2013. As a result, headline and core inflation at the start of the year were higher than projected. Looking ahead, the pass-through of costs to good prices was likely to decline after authorities deferred household LPG price increments[4/], reduced diesel oil price in accordance to the Committee on Energy Policy Administration's (CEPA) decision[5/] in June, as well as asked for the private sector's cooperation in freezing consumer goods prices for the next six months.

Inflationary pressure from the demand side was likely to edge up in line with the economic recovery trend. In the first half of 2014, demand pressure remained subdued following weak private spending and slow export recovery, as reflected by a large negative output gap **(Chart 1.13)**, thus limiting the pass-through of

Chart 1.13 Output Gap



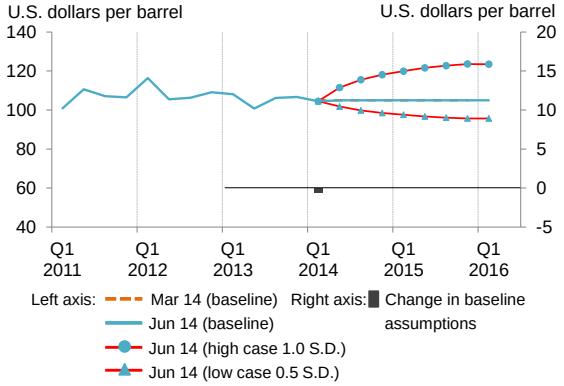
[4/] Authorities decided to postpone increases in household LPG price starting June 2014, holding the price at 22.63 baht per kilogram (from the original plan of increasing the LPG price gradually until it reaches 24.82 baht/kg in September 2014) until the energy reform plan for the whole system becomes more concrete.

[5/] CEPA decided to reduce the retail diesel price by 14 satang per liter, in line with the reduction in world diesel price.

costs to prices. Nevertheless, the expected speedup in economic recovery from the second half of the year onwards, together with gradual closing of the output gap in 2015 given normal domestic demand conditions and concrete export recovery, would prompt demand pressure to edge up and facilitate price adjustments.

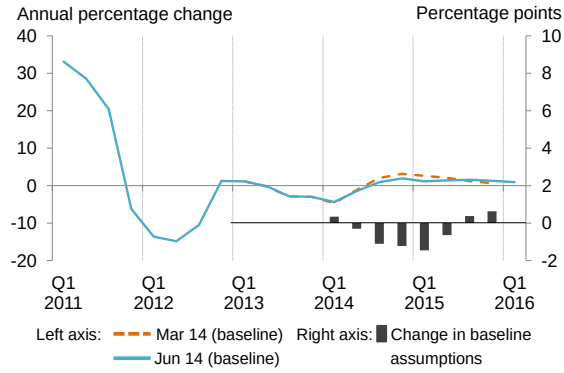
Cost pressure was similar to the previous projection. Baseline **Dubai crude oil price** was similar to the previous assessment, remaining at 105.0 U.S. dollars per barrel throughout the projection period **(Chart 1.14)**. The increase in world Dubai crude oil price at the beginning of the year from unrest in oil producer countries, such as Libya, gradually declined in mid-year after the situation abated. Moreover, the market was concerned that Chinese demand could fall in tandem with its economic slowdown. Going forward, the MPC expected that oil production in OPEC countries would be sufficient to accommodate rising demand from the global economic recovery. The Dubai oil price was, therefore, stable in the baseline case. Nevertheless, upside risks increased slightly from concerns over unrest in Iraq which could raise the short-term Dubai oil price above the baseline projection.

Chart 1.14 Assumptions on Dubai oil price



World crude oil prices were likely to remain stable as the expected increase in demand-side pressure from the global economic recovery would balance out with the expected increase in supply-side pressure as oil production capabilities of OPEC members remained high.

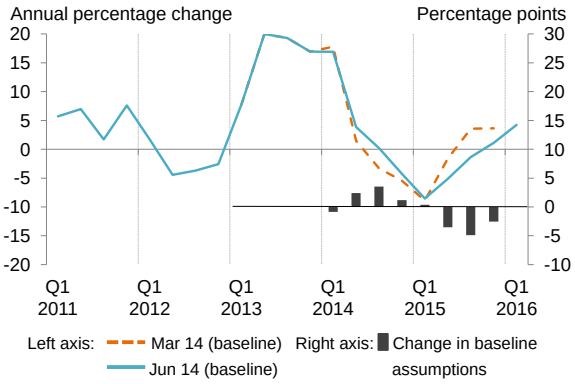
Chart 1.15 Assumptions on non-fuel commodity prices



Meanwhile, **world nonfuel commodity prices** declined slightly **(Chart 1.15)** owing to falling metal prices and low agricultural raw material prices due to high stocks in main importing countries, as well as sluggish recovery

in global demand. Nevertheless, looking ahead, metal and agricultural raw material prices were expected to trend upwards in line with the global economic recovery, except rubber and cotton prices which were likely to remain low following high stocks in the world market. **Domestic fresh food prices** were expected to adjust up following higher price of meat and agricultural products (excluding rice). In particular, shrimp price was expected to remain high given that production had not fully recovered from the lingering disease outbreak while external demand was high. Moreover, swine price also increased due to a disease outbreak and hot weather conditions which caused output to decline, rendering it insufficient to support local demand. Meanwhile, rice prices in 2014 were likely to decline from high rice supply due to expedited rice sales from the government's rice pledging scheme. In addition, the global rice price was likely to decline given high world production and stock of rice. For 2015, the MPC assessed that agricultural prices should trend downwards following the decline in shrimp and swine prices after the disease outbreak situation improved and output increased **(Chart 1.16)**.

Chart 1.16 Assumptions on fresh food prices



Furthermore, cost pressure was also affected by the government's policy to control domestic energy prices. The MPC adjusted oil and domestic retail oil price assumptions down slightly throughout the projection period. The adjustment was in line with a 14 satang per liter reduction in diesel price and the pegging of LPG price at the May 31, 2014. This was in opposition to the previous assumption of gradual price increments until September 2014. The MPC also maintained the assumption of a diesel excise tax exemption and froze the LPG price for the transport sector as previously assumed. These

measures would help keep cost pressure from fuel prices in future periods at a low level.

Looking ahead, the MPC assessed that risks to inflation would tilt towards the upside owing to easier price adjustments during the economic recovery period, which could cause inflation to be higher than assessed in the baseline case. In addition, conflicts in Iraq could somewhat raise oil prices in the short-term.

Alternative scenarios

The MPC appraised that there were various scenarios where Thai economic growth could deviate from the baseline case. The MPC thus took these scenarios into consideration to reflect key risk factors on the Thai economy and inflationary pressure, going forward.

Scenario 1: Government budget disbursements were higher than expected, particularly for investment projects, while exports recovered at a faster-than-expected pace in tandem with global economic conditions. These factors would increase the amount of money circulating in the economy, boost income and shore up household and business sentiment. In turn, households would increase spending, while businesses would expand investment to accommodate both local and external demand. Under this scenario, economic growth would be higher than assessed in the baseline case and would exert further pressure on inflation.

Scenario 2: Thai exports recovered at a slow pace due to constraints in the manufacturing sector, which would hamper exports from fully benefiting from the global economic recovery. Moreover, **prolonged political uncertainty would have a larger impact on foreign tourist**

confidence than expected, causing tourist income to recover slowly, particularly during the high tourist season in the fourth quarter. As a result, Thai economic growth could be lower than assessed, while inflationary pressure would ease further than expected.

1.3 Monetary policy decision

Monetary policy remained accommodative

In the past two meetings, the MPC voted to hold the policy rate at 2.00 percent per annum. The MPC deemed that the current accommodative monetary policy stance remained appropriately supportive of the gradual economic recovery amidst risks from the global economy and political situation.

In its meeting on April 23, 2014, the MPC assessed that the global economy would continue to recover, led by expansions in G3 economies, especially the U.S.. Meanwhile, Chinese economic growth decelerated somewhat from measures implemented to rebalance China's economic structure. ASEAN economies continued to moderate in line with domestic demand, while exports remained strong. Meanwhile, Thai economic growth in 2014 Q1 was expected to contract from the previous quarter. Exports gradually recovered in line with the global economy but could not offset the decline in domestic spending, both public spending due to restrictions stemming from the political situation, and subdued private spending following weaker confidence. As a result, economic growth for 2014 was expected to be lower than previously assessed, with political uncertainty being the main

risk to economic recovery. Financial conditions, overall, did not hinder growth. The MPC viewed that the current accommodative monetary policy stance remained appropriately supportive of the Thai economic recovery. The MPC thus voted 6 to 1 to maintain the policy rate at 2.00 percent per annum. One member voted to lower the policy rate by 0.25 percent to sustain policy easing in supporting growth.

In its subsequent meeting on June 18, 2014, the MPC assessed that the global economic recovery would retain its momentum, led by major industrialized economies, in particular the U.S. which continued to grow on the back of stronger labor and housing markets. In China, risks in the financial sectors subsided and downside risks to growth diminished in the short term. Meanwhile, Asian economies remained stable. For Thailand, the economy was likely to slow down by more than expected in 2014 due to the larger-than-expected contraction in 2014 Q1. Nevertheless, the MPC assessed that the economic recovery should pick up pace given reduced political uncertainty and a resumption of functioning public policy management. Fiscal policy should lend more support to economic recovery and help boost private spending. Meanwhile, risks to economic growth would largely stem from exports of goods and tourism. Inflationary pressure increased slightly, due mainly to the pass-through of higher LPG costs to food prices. The MPC deemed that the current stance of monetary policy was accommodative and supportive of economic recovery. The Committee thus voted unanimously to maintain the policy rate at 2.00 percent per annum and would stand ready to pursue appropriate policy to ensure a sustained recovery as well as long-term financial stability.

1.4 Appendix:

Table 1.5 Forecast assumptions

	2013	2014	2015
Dubai oil price (U.S. dollars per barrel)	105.4	104.9	105.0
Non-fuel commodity prices (%YoY)	-1.1	-0.8	1.3
Fresh food prices (%YoY)	16.0	3.8	-3.6
Minimum wage in the Bangkok Metropolitan Region (baht per day)	300	300	300
Government consumption (%YoY)[1/]	6.4	5.2	3.5
Public investment (%YoY)[1/]	0.8	7.5	9.9
Fed Funds rate (% at year-end)	0.13	0.13	0.75
Trading partners' economic growth (%YoY)[2/]	3.5	3.8	4.0
Regional currencies vis-à-vis the U.S. dollar (Index)[3/]	129.9	131.5	126.2

Note: [1/] Including spending on water management plans and infrastructure investment projects
[2/] Weighted by each country's share in Thailand's total exports
[3/] Appreciation against the US dollar indicated by a decrease

Table 1.6 GDP growth forecasts by research houses

	2014	2015
Standard Chartered	3.5	6.0
FPO[1/]	2.1-3.1	n.a.
NESDB[2/]	1.5-2.5	n.a.
TMB Bank	2.0	4.0
Siam Commercial Bank	1.8	4.8
Kasikorn Research	1.8	4.0
Kiatnakin Bank	1.8	4.0
Phatra Securities	1.8	4.0
DBS Bank	1.6	3.8
BOT	1.5	5.5
OCBC Bank	1.5	3.5
Thanachart Securities	1.4	4.0
JP Morgan	1.1	4.2
Nomura	1.1	3.3
Capital Economics	1.0	3.5
Tisco Securities	1.0	3.5

Note: Compiled and published by Reuters and BOT on June 13, 2014, except:
[1/] Published on March 27, 2014
[2/] Published on May 19, 2014, with the release of GDP data for 2014 Q1
Presented in descending order of 2014's forecast

Table 1.7 Headline inflation forecasts by research houses		
	2014	2015
JP Morgan	2.6	3.3
OCBC Bank	2.6	3.2
Capital Economics	2.6	2.8
Tisco Securities	2.6	2.7
Kiatnakin Bank	2.6	2.6
Kasikorn Research	2.6	2.6
Phatra Securities	2.6	2.6
BOT	2.6	2.5
FPO[1/]	2.0-3.0	n.a.
Siam Commercial Bank	2.5	3.0
TMB Bank	2.5	2.9
NESDB[2/]	1.9-2.9	n.a.
Standard Chartered	2.4	3.0
Thanachart Securities	2.4	2.5
Nomura	2.3	2.5
DBS Bank	2.0	3.2

Note: Compiled and published by Reuters and BOT on June 13, 2014, except:
[1/] Published on March 27, 2014
[2/] Published on May 19, 2014, with the release of GDP data for 2014 Q1
Presented in descending order of 2014's forecast

Table 1.8 Probability distribution of GDP growth forecast								
Percent	2014			2015				2016
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1
> 12	0	0	0	4	3	1	0	0
10-12	0	0	0	13	9	3	1	1
8-10	0	0	4	25	21	9	5	4
6-8	0	2	18	29	28	19	12	11
4-6	0	16	33	19	23	26	21	19
2-4	3	39	29	7	12	23	25	24
0-2	36	33	12	2	4	13	20	20
(-2)-0	51	9	2	0	1	5	11	12
< (-2)	10	1	0	0	0	1	5	7

Table 1.9 Probability distribution of headline inflation forecast								
Percent	2014			2015				2016
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1
> 7	0	0	0	1	1	1	1	1
6-7	0	1	2	2	2	2	2	3
5-6	0	4	6	6	6	6	6	6
4-5	6	14	14	13	12	12	11	11
3-4	27	27	23	19	19	18	17	17
2-3	42	30	25	22	21	21	20	20
1-2	21	18	18	18	18	18	19	18
0-1	4	6	9	11	12	12	13	13
(-1)-0	0	1	3	5	6	6	7	7
< (-1)	0	0	1	2	3	3	4	4

Table 1.10 Probability distribution of core inflation forecast								
Percent	2014			2015				2016
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1
> 3.5	0	0	1	1	1	1	1	1
3.0-3.5	0	3	4	4	2	2	3	4
2.5-3.0	4	13	12	10	6	6	7	8
2.0-2.5	24	29	23	18	13	13	13	14
1.5-2.0	46	32	28	24	20	19	19	19
1.0-1.5	24	18	20	22	23	22	21	21
0.5-1.0	3	4	9	14	19	18	18	16
0.0-0.5	0	1	2	6	11	11	11	10
< 0.0	0	0	0	2	6	7	7	6

Recovery of Thai exports and risks ahead

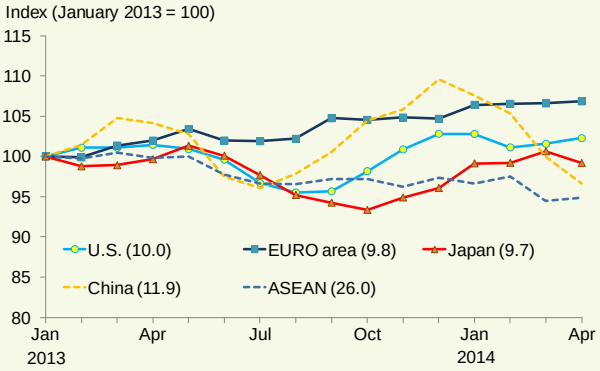
The contraction in domestic demand that seems to go against the firming up in global economic recovery since the beginning of 2014, has led many to assess that the export sector will become the main engine of growth for the Thai economy. However, during the first four months of this year, exports still contracted by 0.8 percent from the same period last year. The momentum that many hoped for still has not been registered. The Thai situation is different from other exporting countries in Asia where strong recoveries have already taken place. Thus, it reflects that Thailand's export sector is faced with not only external factors that could hinder recovery in the next periods, but also internal ones.

External factors

Asian trading-partners' economic slowdown

Despite the pickup in the global economic prospect in line with development of the G3 economies which has allowed Thai exports to these destinations to expand, those to Asia have remained in contraction. (In 2013, Thai exports to China and ASEAN accounted for 37.8 percent of total exports, which was higher than those to G3 which contributed to 29.6 percent). The greater-than-expected slowdown in China's domestic demand and exports, in particular, has not only affected Thailand directly via exports to China but also indirectly via exports to ASEAN for re-exports to China. **(Chart 1)**

Chart 1 Seasonally-adjusted export index by destination



Source: Bank of Thailand

Change in global trade structure

The global trade structure has undergone a significant change after the global economic crisis, resulting in lower growth in global trade compared to that in GDP. This trend is in part due to relocation of production bases to Emerging Market economies (EMs), particularly in Eastern Europe. For these benefactors, intra-regional trade has increased and replaced imports from Asia. Moreover, since the unit labor cost in G3 has dropped continuously after the crisis, some firms have relocated back to their homes. This development implies that Asian exports will benefit from G3 economic recovery by less than before. (Details in Box: Recent changes in global trade structure)

Low agricultural prices

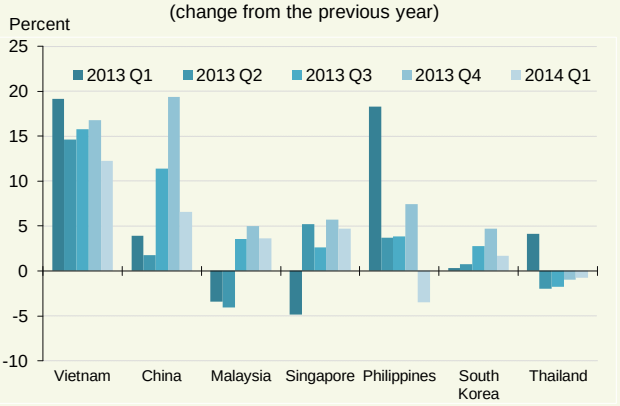
From 2012 onwards, global agricultural prices have been declining consistently. This trend has been due to global over supply of many crops, especially rubber, rice and sugar, which together accounts for 9 percent of Thailand's total exports. The problem of low agricultural prices is a key obstacle on recovery of Thai exports. During the first four months of 2014, while export price contracted by 1.5 percent from the same period last year, export volume over the same period

actually expanded by 0.7 percent. In this regard, the IMF has assessed that agricultural prices would continue to stabilize at low levels and this would stall recovery of Thailand's exports in the periods ahead.

Domestic factors

Apart from uncontrollable external factors, the export sector is also faced with domestic structural changes which have been significant causes of its sluggish recovery compared to other Asian countries. **(Chart 2)**

Chart 2 Growth in Asian exports
(change from the previous year)



Source: CIEC and calculation by Bank of Thailand

Constraints on production technology

During the last three year, electronics which have been Thailand's number one exports have lost competitiveness in the global market. This observation is particularly true for Hard Disk Drive due to firms' inability to adjust production to meet shifts in consumer preference along with the fast changing technological development. In some way, this is due to Thailand's low level of investment in innovations' Research and Development (R&D) compared to competitors such as Singapore, Malaysia and Indonesia. Thailand's level of technological development is also lacking as reflected by its innovation ranking in the Global Competitiveness Index which has decreased from 2007. The above constraints on production technology are important hindrances of recovery in Thailand's exports compared to neighboring countries. **(Table 1)**

Table 1 ASEAN Global Competitiveness Index (148 countries)

Country	Innovation and sophistication factors			
	Business sophistication		Innovation	
	2007	2014	2007	2014
Singapore	23	17	9	9
Malaysia	20	20	21	25
Indonesia	42	37	37	33
Thailand	40	40	33	66
Philippines	59	49	79	69
Brunei	-	56	-	59
Laos	-	78	-	68
Cambodia	100	86	98	91
Vietnam	86	98	75	76
Myanmar	-	146	-	143

Source: World Economic Forum, The global competitiveness report 2007 and 2014

Increase in Thai firms' outward investment

Problems of labor shortage, continuous minimum wage hikes, tax incentives under the Generalized System of Preferences (GSP), and searches for new markets and resources, together have led to a consistent increase in Thai firms' outward investment. A portion of this investment is associated with relocation of production bases to other countries instead of expansion of domestic production capacity. This, too, is another factor which causes Thai exports to expand more slowly than in the past.

Looking ahead, all of the factors above would present important obstacles to the recovery of Thai exports. In particular, constraints on production technology which present a long-term problem and low agricultural prices would continue to restrict export recovery for some periods to come. Thus, the MPC has decided to revise down the export forecast for 2014 from 4.5 to 3 percent.

Recent Economic Developments

2. Recent Economic Developments

The global economy continued to recover in line with development of major industrialized economies. In particular, U.S. economic fundamentals improved consistently in 2014 Q1, notwithstanding unfavorable weather conditions. Growth in the euro area persisted and additional monetary stimulus was expected to provide some further support. The Japanese economy expanded briskly owing to accelerated private spending prior to the increase in consumption tax though some slowdown was anticipated in the next periods. Meanwhile, the outlook for Asia remained stable as improvement in exports was offset by domestic demand slowdown.

The Thai economy in 2014 Q1 contracted from both the previous quarter and the same quarter last year as domestic demand and tourism was affected by the protracted political situation. The sluggish recovery in exports was unable to push growth into positive territory, thereby resulting in manufacturing contraction.

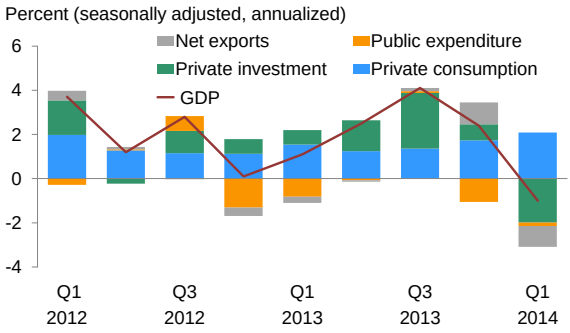
2.1 The global economy

The global economy continued to recover in line with development of major industrialized economies. Meanwhile, the outlook for Asia remained stable as improvement in exports was offset by domestic demand slowdown.

The U.S. economy recovered more strongly thanks to continuous improvement in economic fundamentals notwithstanding the impact of unfavorable weather conditions during the first quarter.

In 2014 Q1, the U.S. economy contracted by 1.0 percent (qoq, saar), following a 2.6 percent expansion in the previous quarter. **(Chart 2.1)** The contraction, in part, owed to the more severe winter which led to a slowdown in economic activities, coupled with a reduction in inventory.

Chart 2.1 Contribution to the U.S.' GDP growth
(change from the previous quarter)



Source: Bureau of Economic Analysis

The outlook for 2014 Q2, however, was expected to improve after the impact of unfavorable weather conditions in prior periods dissipated. Such outlook was reflected by improvements in key leading indicators, for example, manufacturing and services Purchasing Managers Indices (PMI), retail sales, and employment. Real estate indicators also edged up after a continuous slowdown since the middle of last year.

The U.S. monetary policy stance remained accommodative. At the meeting on April 29–30, 2014, the FOMC decided to (1) maintain the fed funds rate at 0–0.25 percent per annum. The FOMC also signaled that this low interest rate environment would be maintained in the periods ahead even though unemployment and inflation moved closer to targets; and (2) reduce asset purchase by 10 billion U.S. dollars per month. Thus, overall asset purchase stood at 45 billion U.S. dollars, including 25 billion U.S. dollars of long-term treasuries and 20 billion U.S. dollars of Agency Mortgage-Backed Securities per month.

Euro area economies recovered steadily and additional monetary stimulus was expected to provide some further support.

Euro area economies[1/] in 2014 Q1 expanded by 0.2 percent (qoq, sa) from 0.3 percent in the previous quarter, thanks chiefly to domestic demand. In particular, investment increased notably in Germany since the beginning of the year.

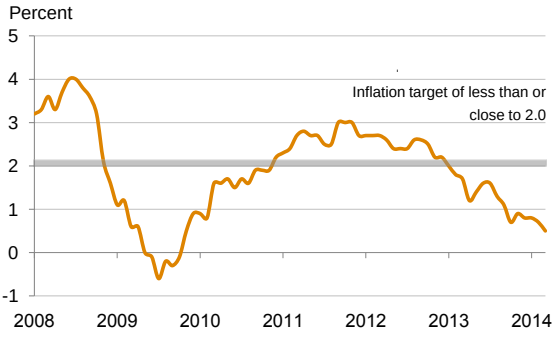
[1/] Includes 17 countries which are sharing the euro. In 2013, Germany, France, Italy and Spain each has a share in the overall Eurozone economy of 28, 21, 17 and 11 percent, respectively. Meanwhile Greece, Ireland and Portugal together hold 6 percent share in the overall Eurozone economy.

Meanwhile, exports from the euro area moderated in line with slowdown in trading partners' economies, particularly the U.S. and Asia.

In 2014 Q2, outlook for the euro area continued to brighten from both consumption and manufacturing. Such outlook was supported by increases in retail sales and manufacturing production in April in line with continuous improvement in consumer confidence for seven consecutive months and the increase in average Composite PMI during April–May from 2014 Q1.

Given higher risk of prolonged low inflation **(Chart 2.2)**, the European Central Bank (ECB) decided to implement additional monetary stimulus.[2/] The move was assessed to provide some further support to the economies, especially periphery economies,[3/] where cost of finance remained much higher than that in major economies. Moreover, confidence was expected to increase thanks to the announcement of additional unconventional measures that would be implemented alongside interest rate policy. Nonetheless, the aforementioned positive impact would be limited because (1) current excess liquidity was low compared to 2012 after the announcement of LTRO; (2) commercial banks

Chart 2.2 Euro area inflation
(change from the previous year)



Source: Eurostat

[2/] On June 5, 2014, the ECB decided to (1) lower the interest rates of all financial products, thereby causing the Refinancing Rate, the Marginal Lending Rate, and the Deposit Rate, to decrease to 0.15, 0.4 and -0.1 percent per annum, respectively; (2) provide liquidity assistance to commercial banks for long-term financing, also known as Targeted Longer-term Refinancing Operation (TLTROs); (3) withdraw the Securities Markets Program (SMP); and (4) study and formulate plans to purchase Asset Backed Securities (ABS).

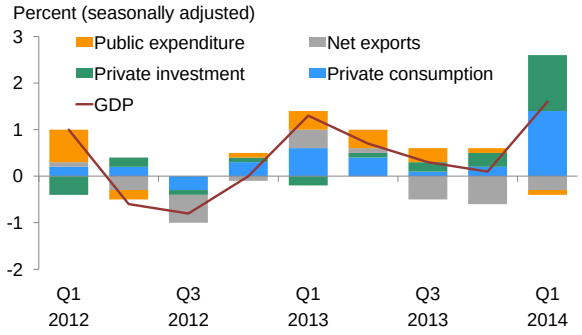
[3/] Includes Portugal, Italy, Ireland, Greece and Spain (PIIGS)

remained cautious in credit extension to the private sector; and (3) the measures lacked implementation details.

The Japanese economy expanded swiftly in 2014 Q1 thanks to the acceleration in private spending. Though a contraction was noted in the second quarter due to the increase in consumption tax, it was assessed to be short-lived.

The Japanese economy in 2014 Q1 expanded by 1.6 percent (qoq, sa) **(Chart 2.3)**, accelerating from 0.1 percent in the previous quarter, thanks to accelerated consumption and investment prior to the increase in consumption tax in April. Meanwhile, manufacturing production expanded in line with domestic demand and recovery in exports firmed up thanks to positive development in tradition partners' economies, particularly Asia (excluding China) and the U.S. However, the increase in imports following accelerated private spending resulted in only a modest contribution to growth from the overall external sector.

Chart 2.3 Contribution to Japan's GDP growth
(change from the previous quarter)



Source: Cabinet Office of Japan

The increase in consumption tax from 5 to 8 percent on April 1, 2014, caused private spending and manufacturing to contract in the second quarter. Such outlook was reflected by significant contractions in retail sales and manufacturing production in April from the average value in previous quarter. Looking ahead, domestic demand and manufacturing was expected to rebound due to planned stimulus packages designed to counter the effect of the tax increase.

In 2014 Q2, the Chinese economy began to stabilize after slowing down for two consecutive quarters, thanks to improvements in exports and consumption. Asian economies excluding China

remained stable as improvement in exports was countered by greater hindrances from domestic demand.

In 2014 Q1, the Chinese economy expanded by 7.4 percent from the same period last year, slowing down from 7.7 percent in the previous quarter. Such development owed to investment slowdown and net exports contraction, which partly stemmed from last year's high base that stemmed from over-invoicing. Meanwhile, consumption growth edged up.

Table 2.1 Indicators of China's economic conditions (2013–2014)
(change from the same period the previous year)

Percent	2013	2014			
		Q1	Apr	May	Survey
Investment in permanent assets*	20.8	17.6	17.3	17.2	17.2
Retail sales	13.3	12.0	11.9	12.5	12.1
Manufacturing Production Index	9.7	8.7	8.7	8.8	8.8
Exports	7.8	-3.5	0.8	7.0	6.7
Inflation	2.6	2.3	1.8	2.5	2.4

Notes: *From the beginning of the year until present
Sources: CEIC and Bloomberg

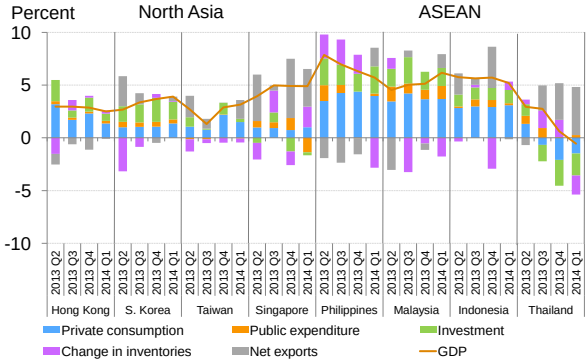
In the second quarter, the Chinese economy started to stabilize after slowing down for two consecutive quarters. **(Table 2.1)** Exports which improved in tandem with development of the global economy and buoyant consumption expansion provided the main thrust for growth. Additionally, the Chinese government's commitment towards sustainable economic growth led to increases in infrastructural investments while accelerated fiscal disbursement resulted in higher government spending.

Growth in Total Social Financing in the second quarter slowed down from the previous quarter in line with non-bank credits. Nonetheless, risk management measures, particularly those aimed to curb shadow banking, led to difficulties for SMEs to access funding. The Chinese authorities thus decided to implement SME supporting measures, for example, a reduction in the Reserve Requirement Ratio (RRR) for rural financial institutions with high percentage of SME lending. Such effort led to some loosening in SMEs' financial conditions and higher business sentiment, particularly for SMEs.

In 2014 Q1, Asian economies excluding China grew at a similar pace as the previous quarter. **(Chart 2.4)** Key supporting factors of growth in this quarter included improvement in exports that owed to recoveries of major industrialized economies and buoyant consumption expansion. Investment in East Asian economies expanded well, thanks to improvement in manufacturing production in line with export outlook. Meanwhile, investment in ASEAN began to face hindrances, in part because financial institutions became more cautious in credit extension to the real estate sector.

Economic activities in the second quarter remained stable. More responsible government expenditure, higher credit standards for the corporate sector, particularly the real estate sector, and elevated household debt, presented greater challenges to domestic demand expansion. These limitations thus offset development in exports, which improved for most countries especially Malaysia and the Philippines, in line with the global recovery following a slowdown in the first quarter, which owed to low trading partners' economic growth. However, Indonesian exports continued to contract since the beginning of the year, in part as a result of the Minerba Act.

Chart 2.4 Contribution to Asia's GDP growth
(change from the previous quarter)

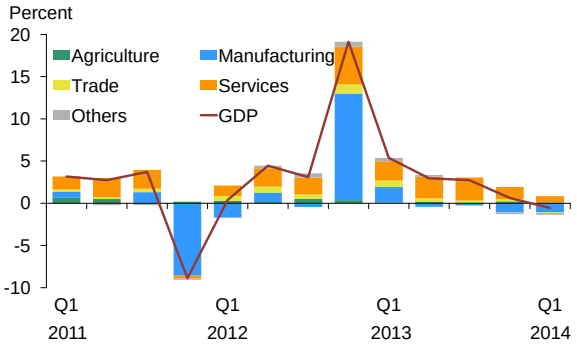


Source: CEIC

2.2 The domestic economy

In 2014 Q1, the Thai economy contracted mainly from domestic demand as the political situation affected private confidence and budget disbursement. The gloomy environment coupled with the continuous slowdown in income and the overall economy caused consumers to become cautious in their spending. Meanwhile, exports recovered albeit only slowly, thereby resulting in continuous slowdown in manufacturing production. Agricultural production, however, expanded steadily.

Chart 2.5 Contribution to GDP growth
(change from the same period the previous year)

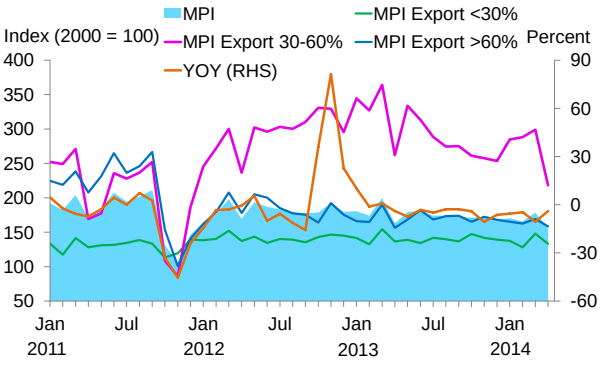


Source: Office of the National Economic and Social Development Board

Economic conditions in 2014 Q1

During the first quarter, the Thai economy contracted slightly by 0.6 percent from the same period last year **(Chart 2.5)** as manufacturing output continued to contract from the last quarter. Meanwhile, the service sector slowed down, in part as a result of the decline in tourism-related activities.

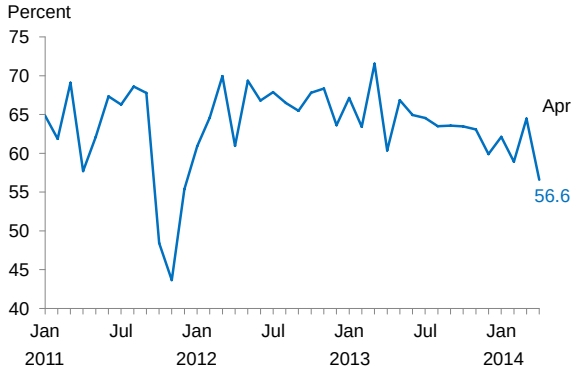
Chart 2.6 Manufacturing Production Index



Source: Office of Industrial Economics, Ministry of Industry

The **manufacturing sector** contracted by 2.7 percent from the same period last year as production in response to domestic demand decreased. Though external demand began to recover, it could not fully compensate the contraction in domestic demand, conform to the decline in Manufacturing Production Index. **(Chart 2.6)** Capital utilization thus averaged at 61.8 percent in the first quarter and declined to 56.6 percent in April. **(Chart 2.7)**

Chart 2.7 Capital utilization rate



Source: Office of Industrial Economics, Ministry of Industry

Domestic-oriented manufacturing production was directly affected by the political situation which caused a dent in private sentiment and government spending. The decrease in automobile manufacturing production after completion of

delivery under the first-car tax rebate scheme coupled with a special factor arising from the reduction in petroleum output due to plant closures for repairs and maintenance, resulted in a contraction of domestic-oriented manufacturing production in the first quarter.

Export-oriented manufacturing production continued to contract from the decrease in HDD orders from overseas as firms had yet to adjust in response to changes in demand. At the same time, the frozen shrimp industry continued to be affected by the Early Mortality Syndrome (EMS) that resulted in input shortage. However, production in some industries improved in line with recovery in external demand such as electrical appliances, electronic tubes and parts, jewelry, and garments that benefitted from the FIFA World Cup which began in June.

It was assessed that production of major industries would continue to contract from the same period last year. These include automobile output which remained subjected to last year's high base and frozen chicken output which was affected by production shortage of a major producer that previously experienced liquidity problems. Nonetheless, it was anticipated that export-oriented manufacturing production would recover in line with development of the global economy.

The **service sector** was impacted as consumers were uncertain of future economic prospect along with the protracted political situation. Hence, the service sector in 2014 Q1 expanded modestly by 2.2 percent from the same period last year, and slowing down from the last quarter. The effect was particularly noted in tourism-related industries such as hotels and

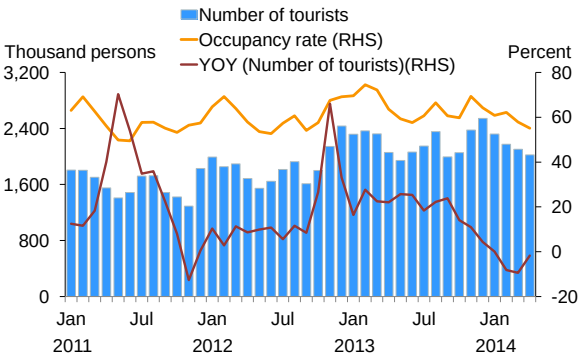
restaurants which experienced a significant decline of foreign tourists, particularly from major East Asian countries. Such development was reflected by the decline in occupancy rate to 60.3 percent which decreased from the same period last year. **(Chart 2.8)** Meanwhile, the transportation sector moderated from the last quarter owing to the decline in air transportation.

In the second quarter, the number of foreign tourists was expected to decline from the same period last year as the heightened political situation in May 2014 prompted more countries to issue travel advisories for Thailand. Some countries also advised citizens to review or refrain from travelling to Thailand.

Agricultural production expanded slightly by 0.8 percent from the same period last year **(Chart 2.9)** as a result of the consistent increase in rubber production due to increase in plantation areas during the past 3–4 years. However, production of many major crops declined owing to unfavorable weather conditions, including rice, oil palm, cassava, and shrimp which continued to be affected by EMS. Agricultural production in April continued to expand from improvement in rice and oil palm output following the increase in water availability from irrigation systems. Oil palm production also increased as a result of expansion in plantation area in previous periods.

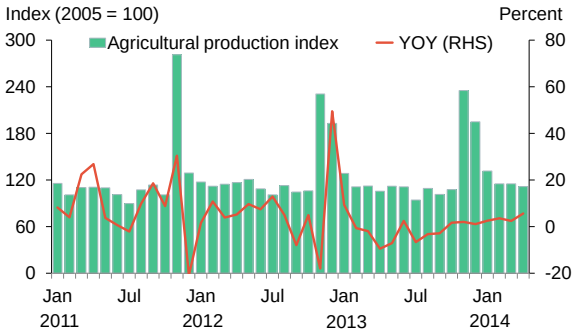
The **trade sector** contracted marginally by 0.5 percent from the same period last year due to the decline in manufacturing activities. Furthermore, the real estate sector contracted slightly in line with the reduction in construction activities by 12.4 percent from the same period last year; a further decline from the previous quarter. In this connection, construction under government projects contracted

Chart 2.8 Number of foreign tourists and hotel occupancy rate



Source: Department of Tourism and Bank of Thailand

Chart 2.9 Agricultural production

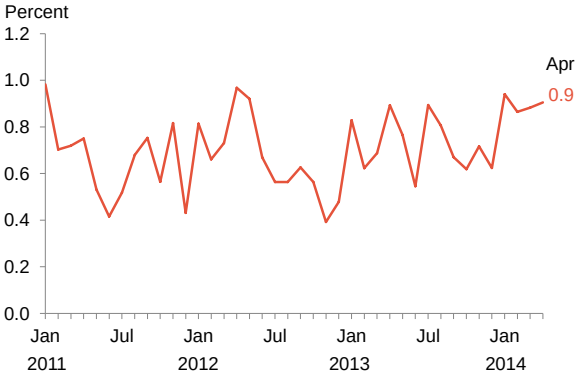


Sources: Office of Agricultural Economics and Bank of Thailand

due to the decrease in capital budget disbursement while construction under private projects contracted in line with the economy and higher costs. This trend continued to be observed in April as a result of economic uncertainties and delays in budget disbursement.

Nonetheless, the contraction in economic activities in 2014 Q1 had not visibly affected employment yet, except for the decline in O/T hours. The unemployment rate in April stood at a low of 0.9 percent **(Chart 2.10)**. Despite some reduction in employment in certain sectors, for example, construction which was affected by activities, labor was able to relocate to other sectors. Information from the Business Liaison Program also suggested that firms continued to face difficulty in finding workers, reflecting the ongoing tightness in the labor market.

Chart 2.10 Unemployment rate



Source: National Statistics Office

In 2014 Q1, domestic demand contracted from both the same period last year and also the last quarter **(Table 2.2)** owing to reduction in both private and public spending. Since exports continued to recover only slowly, contraction in overall manufacturing production was observed.

Table 2.2 GDP growth rate

Change from the same period in the previous year (percent)	2013					2014
	Year	Q1	Q2	Q3	Q4	Q1
GDP	**2.9**	**5.4**	**2.9**	**2.7**	**0.6**	**-0.6**
Domestic demand	0.2	4.6	3.6	-1.4	-5.5	-4.2
Private consumption	0.3	4.4	2.5	-1.2	-4.1	-3.0
Private investment	-2.8	2.9	2.0	-3.1	-13.2	-7.3
Government consumption	4.9	2.9	7.6	7.3	0.8	2.9
Pubic investment	1.3	18.8	15.4	-16.2	-4.7	-19.3
Exports of goods and services	4.2	8.3	2.9	3.8	2.0	-0.4
Goods	0.2	3.7	-1.5	-1.4	0.2	0.8
Services	19.7	25.7	22.4	25.2	8.1	-4.2
Imports of goods and services	2.3	8.1	4.5	0.8	-3.5	-8.5
Goods	1.8	9.5	4.4	-0.5	-5.3	-12.0
Services	5.2	1.2	5.3	8.1	6.3	11.2

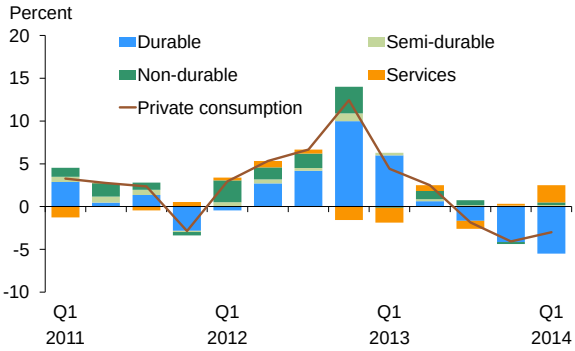
Note: 1/ Domestic demand excluding changes in stocks

Source: National Economic and Social Development Board and calculations by Bank of Thailand

During the first 4 months, **private consumption** continued to contract from the same period last year. **(Chart 2.11)** In the first quarter, private consumption contracted by 3 percent from the same period last year, in part because the protracted political situation continued to affect consumer confidence. Purchasing power of agricultural households was also affected by low prices of major crops and that of non-agricultural households edged down somewhat as a result of the economic slowdown. This development resulted in deterioration of financial conditions of highly indebted households, thereby causing them to remain cautious in their spending. The contraction in consumption was also partly caused by last year's high base which arose from accelerated automobile delivery under the first-car tax rebate scheme. Nonetheless, private consumption, both durable and non-durable, started to stabilize in April in tandem with adjustment in consumer confidence and O/T hours in the non-agricultural sector. **(Chart 2.12)**

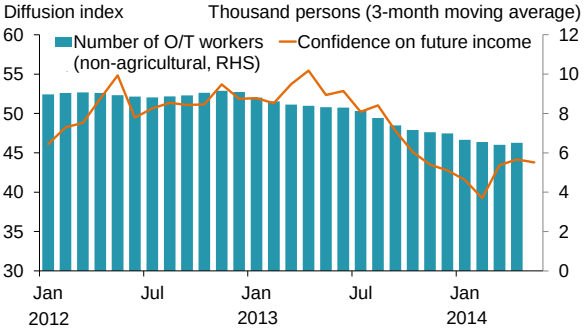
Private investment during the first 4 months continued to contract. In 2014 Q1, private investment contracted by 7.3 percent from the same period last year **(Chart 2.13)** owing to investment in machinery and equipments and construction. The ongoing political uncertainty also put a dent in business sentiment as reflected by the Business Sentiment Index (BSI) which remained under 50 since June 2013 and the accumulated value of requests for Board of Investment (BOI) investment promotion certificate which was lower than the same period last year. Thus, firms decided to postpone investment to await greater clarity for both the political and economic prospects. However, private investment in April began to stabilize in line with investment in

Chart 2.11 Contribution to private consumption
(change from the same period the previous year)



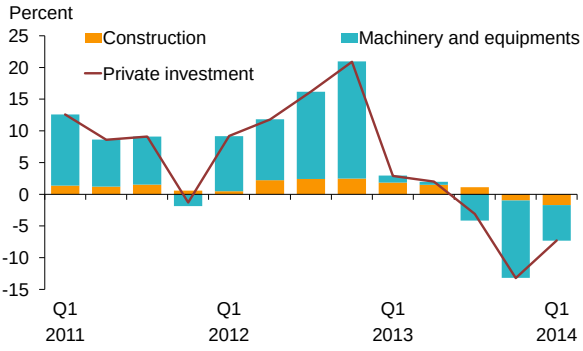
Source: National Economic and Social Development Board

Chart 2.12 Consumer confidence and
number of O/T workers (seasonally adjusted)



Source: Ministry of Commerce, National Statistics Office and
calculation by Bank of Thailand

Chart 2.13 Contribution to private investment
(change from the same period the previous year)

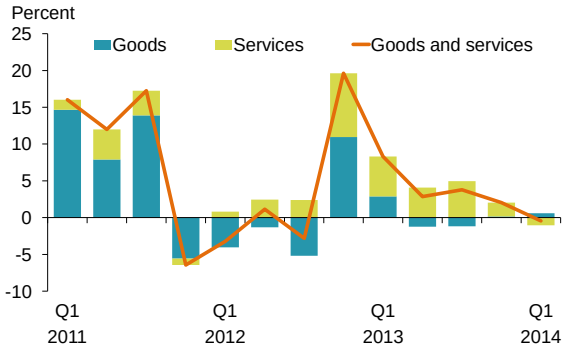


Source: National Economic and Social Development Board

machinery and equipments, owning chiefly to imports of capital goods in the chemical, food and beverage, and metal industries.

Exports during the first 4 months recovered rather slowly. In 2014 Q1, the volume of exports grew by 0.8 percent from the same period last year **(Chart 2.14)** in tandem with recovery in exports of manufactured goods, for example, automobiles, electrical circuits, electrical appliances, machinery and equipments, together with exports of agricultural products. Nonetheless, the value of exports of agricultural products continued to contract owing to low global commodity prices. In addition, exports of some sectors were also affected by temporary factors, for example, fishery products which were impacted by the outbreak of diseases in shrimps, metal products which were affected by last year's high base that owed to abandonment of trade barriers in trading partners' economies, and petroleum products which were impacted by plant closures for repairs and maintenance. The last two special factors would disappear by the second quarter.

Chart 2.14 Contribution to exports of goods and services
(change from the same period the previous year)



Source: National Economic and Social Development Board

In 2014 Q1, exports of services contracted by 4.2 percent from the same period last year–the first contraction since the severe floods in 2011. The protracted political situation and the announcement of the emergency decree during January 22 to March 19, 2014, resulted in a continuous decline in the number of tourists from major Asian destinations including China, Hong Kong S.A.R., Japan and Malaysia as they are highly sensitive to political news. Then, the number of foreign tourists rebounded in April after the emergency decree was lifted. However, improvement was short-lived due to a new political development in May which caused many countries to step up their travel advisories, which greatly

affected tourist confidence. Such development coupled with absence of insurance coverage for political factors implied that tourism recovery would be delayed in future periods.

The contraction in domestic spending and sluggish recovery in exports caused imports to contract rather significantly by 12.0 percent in 2014 Q1 **(Chart 2.15)**. The impact was particularly severe for imports of capital goods, raw materials and intermediate inputs excluding crude oil, which contracted in tandem with manufacturing production, sluggish recovery in private investment and exports of goods, and contraction of imports of consumer products which declined in line with private consumption. However, the outlook for imports of goods began to stabilize in April in line with key economic indicators.

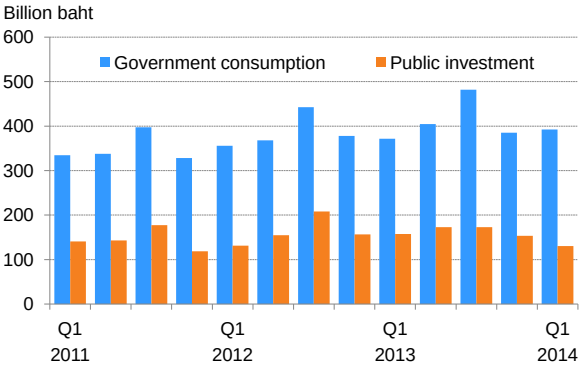
Chart 2.15 Contribution to imports of goods and services
(change from the same period the previous year)



Source: National Economic and Social Development Board

On **public expenditures**, the role of government stimulus weakened compared to the first 4 months of last year owing to the protracted political situation, dissolution of parliament and delays in procurement which resulted in a somewhat restricted budget disbursement, particularly in capital budget and non-budgetary spending that were mostly delayed. Meanwhile, revision of investment plans by large state enterprises led to reduction in state enterprises' capital expenditure. However, disbursement of current expenditure namely salaries and purchases of goods and services proceeded as usual. **(Chart 2.16)** Overall government revenue collection declined owing to reduction in income tax pertaining to decreases in the tax rates for both personal and corporate income taxes, reduction in automobile excise tax which followed the contraction in private investment, and continuous contraction in tax on international trade due to the slowdown in imports of goods.

Chart 2.16 Public expenditure

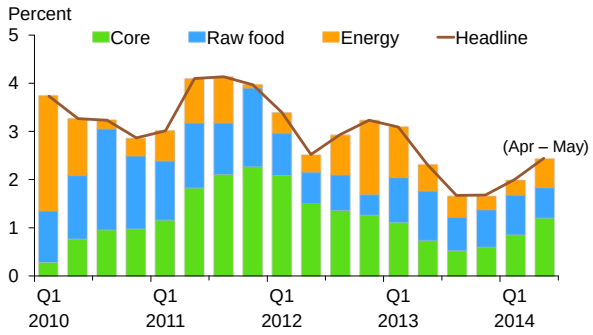


Source: National Economic and Social Development Board

2.3 Costs and prices

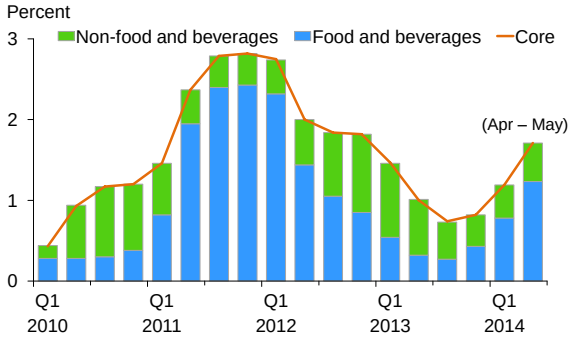
Inflation

Chart 2.17 Contribution to headline inflation



Source: Trade and Economic Index Bureau, Ministry of Commerce and calculations by Bank of Thailand

Chart 2.18 Contribution to core inflation



Source: Trade and Economic Index Bureau, Ministry of Commerce, and calculations by Bank of Thailand

Headline inflation over the first two months of 2014 Q2 continued to edge up from the first quarter to stand at 2.44 percent, owing to acceleration in core inflation and energy prices. **(Chart 2.17)**

Core inflation continued to accelerate from 1.19 percent in 2014 Q1 to 1.67 percent during the first two months of the second quarter. **(Chart 2.18)** The increase in core inflation still stemmed mainly from increase in prices of prepared foods due to the pass-through of higher prices of LPG and sauces and condiments. Meanwhile, prices of other goods and services in the core inflation index basket continued to stabilize in tandem with production cost and the slowdown in domestic demand.

Prices of energy accelerated from the previous quarter due to the increase in electrical fees (FT) of 10 satang per unit during May to August 2014 together with higher retail oil prices which edged up in line with the global oil price that was affected by concern over a supply shortage that resulted from political tensions in Libya and Ukraine.

Prices of raw food slowed down from the previous quarter due to last year's high bases of vegetable and fruit prices. Such base effect was large enough to offset the increase in prices of raw food during the first two months of 2014 Q2 including prices of vegetables and fruits, meat and eggs which edged higher due to supply shortages resulting from extremely hot weather.

In this regard, core inflation during the first two months of 2014 Q2 was higher than expected and was due chiefly to underestimation of the pass-through of production costs to prices of prepared food. **(Table 2.3)**

Table 2.3 Quarterly inflation

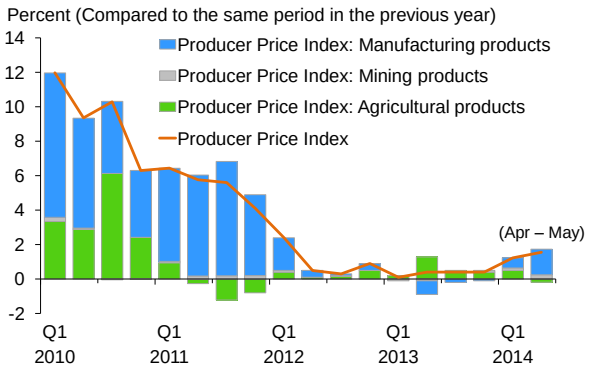
Unit: Percent	2013	2013				2014	
		Q1	Q2	Q3	Q4	Q1	Apr-May
Percentage change from previous year (%Δyoy)							
- Headline Consumer Price Index	2.18	3.09	2.32	1.67	1.68	2.00	2.44
• Core Consumer Price Index	1.00	1.47	1.00	0.74	0.82	1.19	1.67
• Raw food	5.54	6.08	6.60	4.48	5.05	5.34	3.98
• Energy	4.79	8.76	4.60	3.67	2.35	2.55	5.00
Percentage change from previous quarter (%Δqoq)							
- Headline Consumer Price Index	-	0.5	0.5	0.3	0.4	0.8	0.9
• Core Consumer Price Index	-	0.2	0.1	0.2	0.3	0.5	0.6
• Raw food	-	0.4	3.6	0.1	0.8	0.7	2.3
• Energy	-	2.1	-1.5	1.7	0.0	2.3	0.9
Percentage change from previous quarter (%Δqoq_sa)							
- Headline Consumer Price Index	-	0.03	0.07	0.13	0.31	0.19	0.25
• Core Consumer Price Index	-	0.02	-0.01	0.10	0.18	0.16	0.19
• Raw food	-	0.14	0.51	-0.09	0.77	0.67	-0.14
• Energy	-	-0.62	0.18	0.74	0.63	-0.73	1.38

Source: Trade and Economic Index Bureau, Ministry of Commerce, and seasonal adjusted quarter-on-quarter percentage change calculations by Bank of Thailand

Production cost conditions

During the first two months of 2014 Q2, the Producer Price Index increased by 1.6 percent, accelerating slightly from 1.2 percent in the first quarter **(Chart 2.19)** due to prices of petroleum products which increased in line with the global oil price. Meanwhile, prices of other inputs stabilized at low levels overall, in line with stable global commodity prices.

Chart 2.19 Contribution to Producer Price Index



Source: Trade and Economic Index Bureau, Ministry of Commerce and calculations by Bank of Thailand

Inflationary pressure in the periods ahead

Inflationary pressure remained, owing to the gradual pass-through of costs to prices of prepared food. Nonetheless, the amount of

pressure would not raise concern overall as there was no signs of further pass-through to other goods and services. The absence of further pass-through was, in part due to low demand pressure and inflation expectation. Cost pressure remained stable close to the current level.

(1) Cost pressure would likely remain stable in line with developments in global oil and non-oil commodity prices together with the government's policy to cap domestic diesel price at 30 baht per liter[4/] and postpone the increase in LPG price for the household sector that was formerly scheduled to begin in June 2014 in order to await details of the national energy price reform initiative. (It was previously planned that LPG price for households would increase by 50 satang per month until the target price of 24.82 baht per kilogram would be reached in September 2014) Nonetheless, it was expected that cost pressure that stemmed from previous increases in LPG price would still gradually pass-through to prices of prepared food in the next periods.

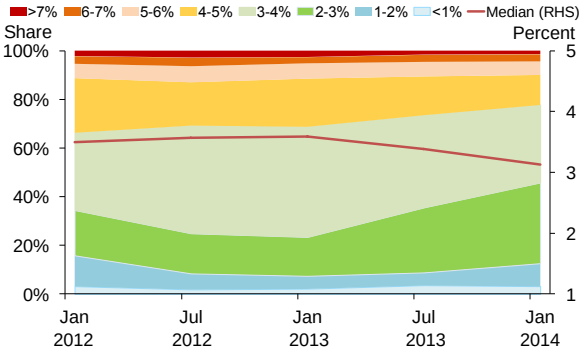
(2) Demand pressure continued to be low as reflected by the output gap which was expected to remain open for the rest of the year. Nevertheless, the demand pressure tend to increase following the pickup in economic outlook that owed to improvement in the political situation and greater clarity on government policies, which helped restore private confidence.

[4/] EPPO decided to decrease diesel oil price by 14 satang from 29.99 to 29.85 baht per liter, effective from June 13, 2014 onwards.

(3) Inflation expectation began to stabilize after some declines in previous periods. In April, businesses' 12-month-ahead inflation expectation stood at 3.0 percent. **(Chart 2.20)**

Concerning the short-term outlook of inflation, it was expected that headline inflation would edge up in line with core inflation due to the continuous pass-through of costs to prices of prepared food. This development would partly reflect actual behavior of restaurants in adjusting menu prices in line with peers, thereby resulting in high persistence in prepared food inflation. However, increases in prices of prepared food were expected to gradually slow down since most restaurants had already adjusted prices up. Meanwhile, increases in prices of other goods and services were expected to be modest given low demand pressure and stable cost pressure.

Chart 2.20 12-month ahead inflation expectation
(April 2014)

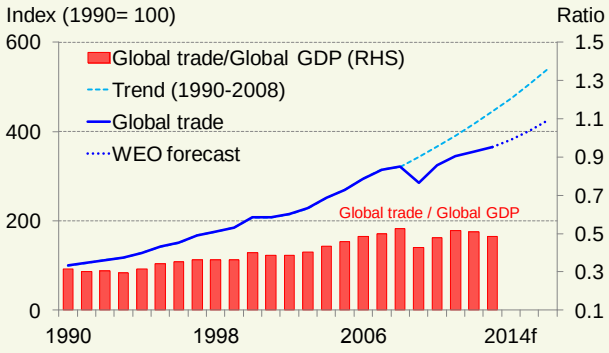


Source: Bank of Thailand's Business Sentiment Survey

Recent changes in global trade structure

During the first four months of 2014, Asian exports began to recover in line with recovery in domestic demand of major industrialized economies. The return of exports as driver of growth for Asian economies led to buoyant growth in many economies despite some slowdown in domestic demand. However, recent global economic crises and development of the global economy are expected to affect global trade structure such that Asian economies may no longer be able to depend on exports as a source of growth as was the case in previous periods. This trend rests upon two key observations.

Chart 1 Global trade

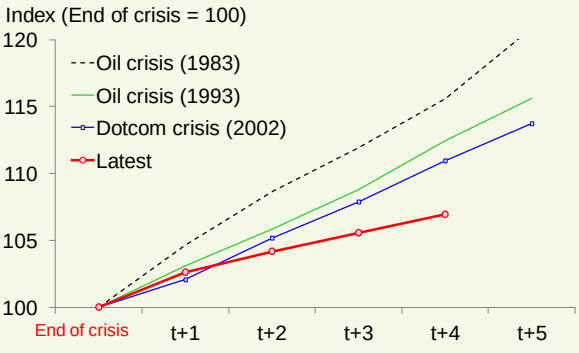


Source: WEO, UNCTAD and CEIC

1. Moderation in global trade growth may result in lower growth of Asian exports in the next periods. Analysis of historical global trade data reveals that global trade grew by 7 percent during 1991–2007 compared with only 4 percent during 2011–2013. **(Chart 1)** The observed reduction in global trade may be due to:

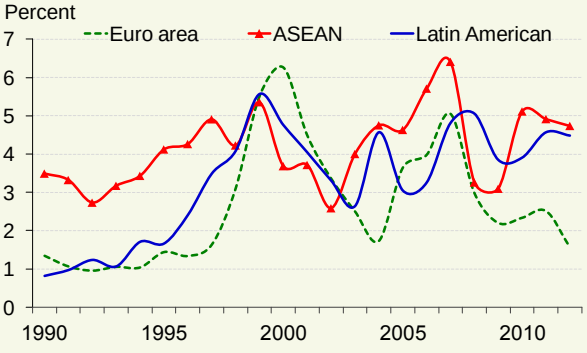
(1.1) Slow recovery of advanced economies: the recovery in the post 2008 global economic crisis period has been slower compared to the pace noted in previous crises. **(Chart 2)** This trend is a result of various structural problems in the G3 economies during the latest global economic crisis, namely financial, fiscal and real estate problems, as well as the persistently high unemployment. Resolution of these structural impediments to growth would take time.

Chart 2 Post-crisis recoveries of major industrialized economies



Source: WEO and UNCTAD

Chart 3 Ratio of foreign direct investment to GDP by region

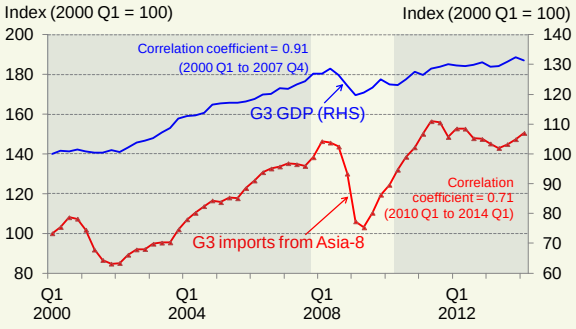


Source: WEO, UNCTAD and CEIC

(1.2) Relocations of upstream production bases to Emerging Markets (EMs) for domestic-oriented and export-oriented manufacturing have been common. This trend is evident from the continuous increase in Foreign Direct Investment (FDI) to EMs, both ASEAN and Latin America, over the last ten years. **(Chart 3)** Manufacturing clusters become more common in each destination, covering upstream, midstream and downstream productions. Thus, imports and exports of intermediate goods have been reduced, leading to a decline in intra-regional trade which has been replaced by domestic production.

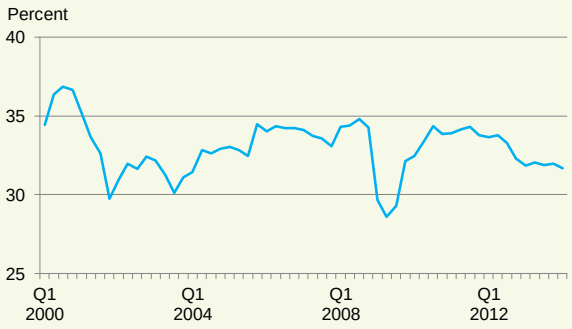
2. Weakened relationship between G3 GDP and imports from Asia since the pre 2008 global economic crisis period. **(Chart 4)** This development reflects that though recovery of G3 economies is expected in the next periods, imports from Asia may still expand only modestly. Hence, Asian exports may not benefit from G3 economic recovery by as much as in the past. This is in part due to behavioral adjustment by some G3 consumers to purchase domestically produced goods. Thus, some businesses have relocated back into G3, resulting in a decrease in the ratio of imports to consumption of durable goods in the U.S after the 2008 global economic crisis. **(Chart 5)** The narrowing gap between labor costs in G3 and Asia is another contributing factor to this development. While G3 unit labor cost has been declining continuously, particularly after the global economic crisis, EM unit labor cost has been accelerating quite notably.

Chart 4 Relationship between G3 GDP and G3 imports from Asia-8



Note: Asia-8 include Hong Kong, Taiwan, South Korea, Singapore, Malaysia, Indonesia, Philippines and Thailand
Source: WEO and CEIC

Chart 5 U.S. ratio of imports to private consumption



Note: excludes oil, food and beverage, durable consumption at constant price
Source: CEIC

In summary, recent changes in global trade structure may imply that Asian exports will not benefit from G3 economic recovery by as much as in the past. Moreover, shifts in consumer behavior, for example, preference for smart phones and tablets over personal computers, may also cause exports of some countries which produce obsolete goods to recover slower than others. Thus, countries that are affected by this shift in consumer behavior must upgrade their production technology to meet the changing global demand in order to maximize the benefit from G3 economic recovery.

Monetary and Financial Stability

3. Monetary and Financial Stability

Thailand's overall economic and financial stability continued to be well maintained. Money market interest rates remained stable in line with the policy rate. Growth in deposits and credits slowed down in tandem with the economy. Nonetheless, financial strength of financial institutions remained sound. However, non-financial institution sectors became more fragile due to the weakenening economic prospect as reflected by lower household income and corporate profitability. Thankfully, Thailand's strong econommic fundamentals and greater clarity on government policies helped maintain investor confidence along with stable developments in the financial and equity markets.

Salient risks that needed to be monitored in the periods ahead included 1) the economic slowdown which could affect household income and corporate profitability and in turn, financial institutions' credit quality; 2) clarity on political development, economic policies and national reforms which could impact confidence, investment and private consumption in the next periods; and 3) volatility in capital flows resulting from uncertainties on monetary policy directions of major industrialized economies and the still fragile global economic outlook, which could affect liquidity, asset prices and the foreign exchange market at some points.

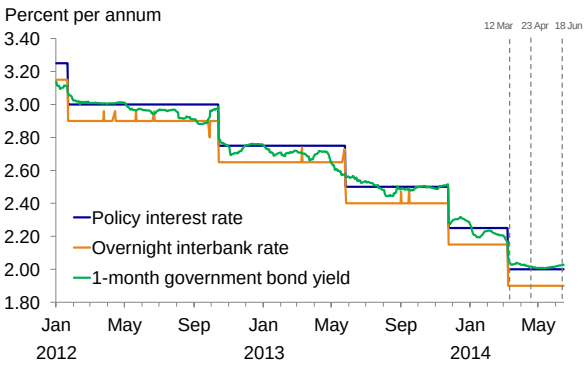
3.1 Financial markets

Money market interest rates remained stable in line with the policy rate. Government bond yields adjusted downwards overall in tandem with yields on U.S. treasuries and higher demand for Thai bonds by both domestic and foreign investors.

Money and bond markets

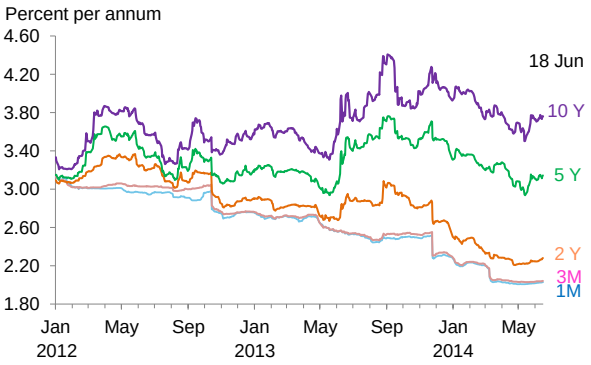
Short-term money market interest rates remained stable, close to the policy rate, and in line with the MPC's decision to maintain the policy rate at 2.00 percent per annum at the April 23,

Chart 3.1 Money market short-term interest rates



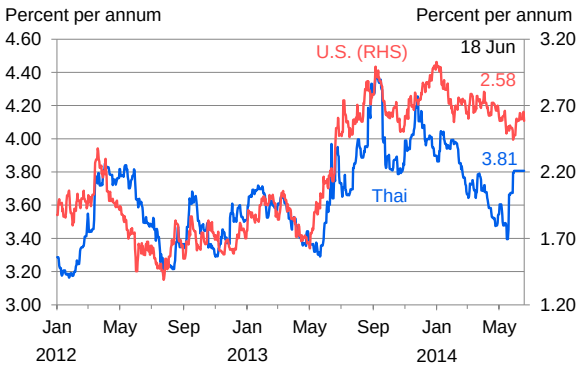
Sources: Bank of Thailand and the Thai Bond Market Association (ThaiBMA)

Chart 3.2 Government bond yields



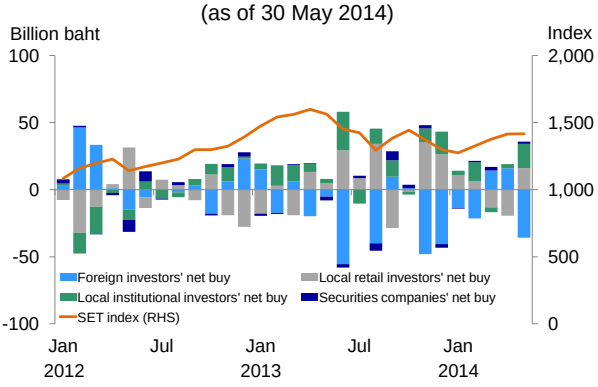
Sources: The Thai Bond Market Association (ThaiBMA)

Chart 3.3 10-year government bond yields



Source: Bloomberg

Chart 3.4 The Stock Exchange of Thailand index (as of 30 May 2014)



Source: The Stock Exchange of Thailand

2014 meeting. As of June 18, 2014, the overnight interbank lending rate and the one-month government bond yield stood at 1.90 and 2.03 percetn per annum, respectively. **(Chart 3.1)** The yield curve flattened since the end of March 2014. While short-term government bond yields remained stable, medium- to long-term government bond yields adjusted downwards overall in tandem with yields of U.S. treasuries and limited new auctions during the second quarter. Nonetheless, towards the end of May 2014, the yield curve was dictated by 1) profit-making selloffs by both domestic and foreign investors after a significant drop in yields in prior periods; 2) large supplies of medium- to long-term corporate debentures and; 3) better economic assessment by market analysts after the political tension eased. As of June 18, 2014, the ten-year government bond yield stood at 3.81 percent per annum. **(Charts 3.2 and 3.3)**

Equity market

From 2014 Q1 to May, the Stock Exchange of Thailand (SET) index edged up despite some short-term impact from the new political development on May 22, 2014. During the first quarter, foreign investors' net sales amounted to 20.8 billion baht owing to both domestic and external factors, namely the political uncertainty and expectation of further QE Tapering by the Fed after improvement in U.S. economic data. As a result, the SET index fell to its lowest level of 1,274 points in January 2014. However, foreign investors' net sales declined rather significantly compared to the end of last year thanks to gradual implementation of QE Tapering together with market price-in and large selloffs in previous periods. Furthermore, given the continuous demand from domestic investors, the SET index thus trended up steadily. **(Chart 3.4)**

Nonetheless, after the new political development on May 22, 2014, foreign investors began to sell off assets again. However, the sales were temporary thanks to greater clarity on government policies including accelerated budget disbursement and investment project approvals by the Board of Investment (BOI) which helped restore domestic investor confidence. Subsequently, the SET index moved up to register at higher than 1,400 points again on May 28, 2014. Foreign investor confidence also improved and asset purchases resumed in June onwards.

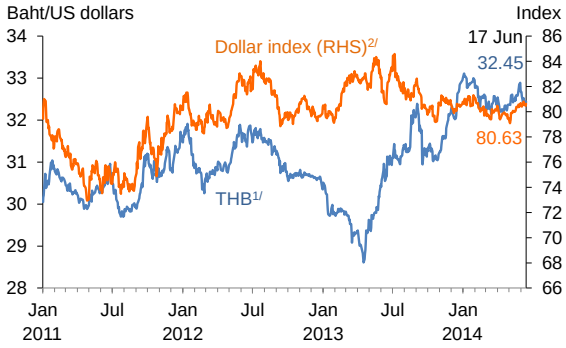
Foreign exchange market

Movement of the Thai baht was stable against the U.S. dollar. Despite some short-term depreciation owing to the new political development on May 22, 2014, the Thai baht quickly strengthened against the U.S. dollar at the beginning of June 2014. **(Chart 3.5)**

In recent periods, the Thai baht was rather stable despite some short-term depreciation due to investors' concern over the protracted political situation coupled with better-than-expected U.S. economic data which prompted investors' anticipation of the normalization in U.S. monetary policy.

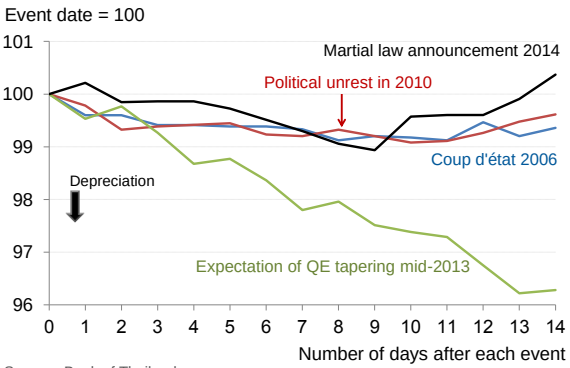
After the new political development in May 2014, some investors reduced the share of Thai assets in their portfolios to cut down investment risk and await greater political clarity. However, the size of asset selloffs was small, especially compared to May 2013 when investors started to speculate on the beginning of QE Tapering by the Fed. **(Chart 3.6)** Nonetheless, from June onwards, foreign investors began to return to the Thai equity and bond markets as confidence on economic fundamentals remained strong as reflected by high international reserves, overall macroeconomic

Chart 3.5 Exchange rate and trade-weighted dollar index



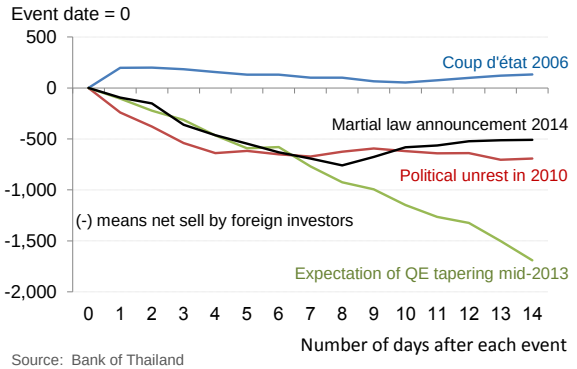
Sources: 1/ Bank of Thailand
2/ Bloomberg

Chart 3.6 Post-event movement of the Thai baht



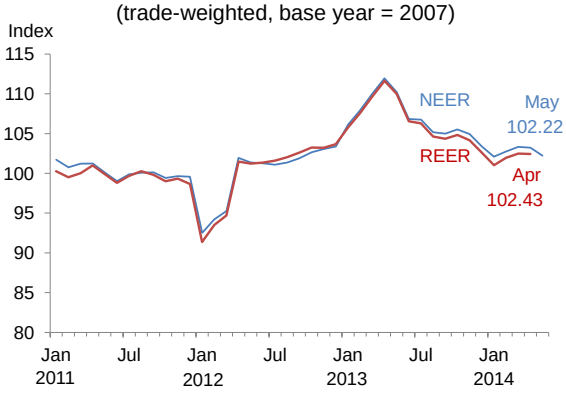
Source: Bank of Thailand

Chart 3.7 Post-event foreign investors' accumulated net buy in Thai equity market (millions U.S. dollars)



Source: Bank of Thailand

Chart 3.8 NEER and REER (trade-weighted, base year = 2007)



Source: Bank of Thailand

stability, namely low and inflation, on the back of strong financial institutions and corporates. The high level of investor confidence was evident by credit rating agencies' decisions to maintain Thailand's credit rating, citing that clarity on political development would benefit the country in the periods ahead. On June 17, 2014, the Thai baht thus stood at 32.45 baht per U.S. dollar, appreciating by 1.3 percent from the end of last year. **(Chart 3.7)**

In May, the Nominal Effective Exchange Rate (NEER) registered at 102.22, depreciating by 1 percent from the previous month due mainly to movement of the Thai baht against the U.S. dollar, the Chinese yuan, and the Japanese yen. Factors that contributed to the strengthening of the Chinese yuan were better-than-expected industrial output and balance of trade data. Furthermore, the Japanese yen appreciated owing to investors' return to safe haven assets during the period of high political uncertainties in the Ukraine. Meanwhile, the Real Effective Exchange Rate (REER) recorded at 102.43 in April, depreciating slightly by 0.05 percent from the previous month in line with the trend of NEER. Overall, the REER continued to be lower than the NEER due to Thailand's low inflation relative to trading partners'. **(Chart 3.8)**

3.2 Financial institutions

From April to May 2014, deposit and loan rates of the four largest commercial banks remained unchanged from 2014 Q1. Private credits slowed down continuously in line with the economy, leading to lower intensity of competition for deposits.

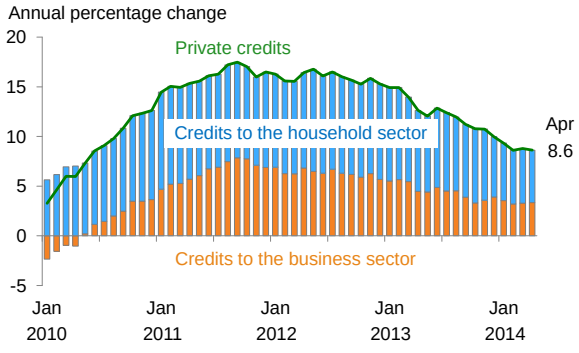
Interest rates, credits and deposits

Small and medium commercial banks decreased deposit rates, following one after anothersince April 2014 as competition for deposits eased due to the slowdown in new private credits in line with the economy. Average deposit rates of the four largest commercial banks[1/], however, remained stable owing to prior decreases during the first quarter of the year. Interest rates on the 12-month deposits of the four largest commercial banks and small and medium commercial banks registered at 1.73 and 2.26 percent per annum, declinding from 1.74 and 2.35 percent per annum in March.

Meanwhile, the average MLR of the four largest commercial banks at the end of May 2014 stood at 6.75 percent per annum, remained unchange from the end of 2014 Q1.

In 2014 Q1, growth in other depository corporations' private credits continued to decelerate. At the end of April, private credit expanded by 8.6 percent from the same period last year, slowing down from 10.0 percent noted at the end of 2013**. (Chart 3.9)** The slowdown in private credits was attrributed to easing demand pressure associated with the weakening economic prospect that was

Chart 3.9 Other Depository Corporations' private credits



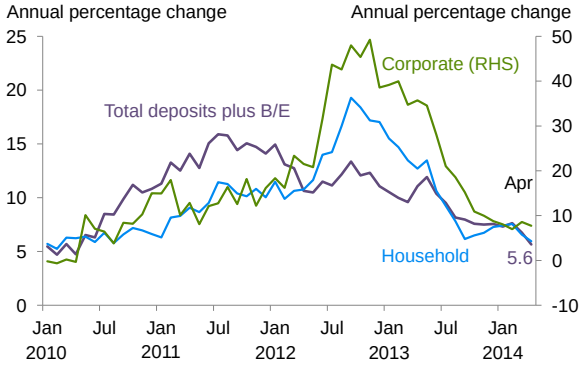
Source: Bank of Thailand

[1/] BBL, KTB, KBANK and SCB

caused by low consumer confidence and private investment resulting from the political situation and high economic uncertainty. Moreover, financial institutions continued to be cautious in credit extension due to concerns over credit quality. In this connection, the BOT's Senior Loan Officer survey conducted in 2014 Q1 revealed that credit demand would continue to trend down in the next periods. Despite higher demand for some types of credits such as SME credit and real estate credit, tightened credit standards would still prevail.

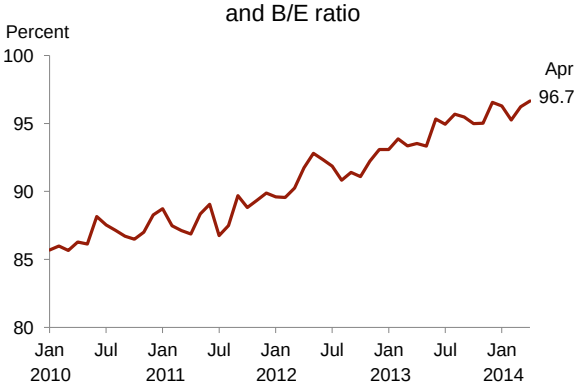
Other depository corporations' deposits and bills of exchange (B/E) continued to moderate in 2014 Q1. At the end of April 2014, deposits and B/E expanded by 5.6 percent, slowing down from 7.6 percent recorded at the end of last year, due to both consumer and corporate credits. **(Chart 3.10)** The main factor that contributed to the slowdown in deposits and B/E was reduction in the need to mobilize deposits as financial institutions revised down their credit targets. Moreover, depositors also reallocated deposits to other types of savings products with higher returns, for example, mutual funds. The intensity of overall competiton for deposits dropped. Nonetheless, financial institutions still marketed some long-term deposit products, in part to maintain customer base. Overall, the Loan to Deposit and B/E ratio edged higher from 96.6 in December 2013 to 96.7 in April 2014. **(Chart 3.11)**

Chart 3.10 Other Depository Corporations' deposits



Source: Bank of Thailand

Chart 3.11 Commercial banks' loan to deposit and B/E ratio



Source: Bank of Thailand

Stability of financial institutions

Stability of financial institutions in 2014 Q1 remained sound. The capital adequacy ratio continued to be high. Credit quality slightly deteriorated due to consumer loans that were affected by the economic slowdown. Nonetheless, commercial banks were well prepared to absorb

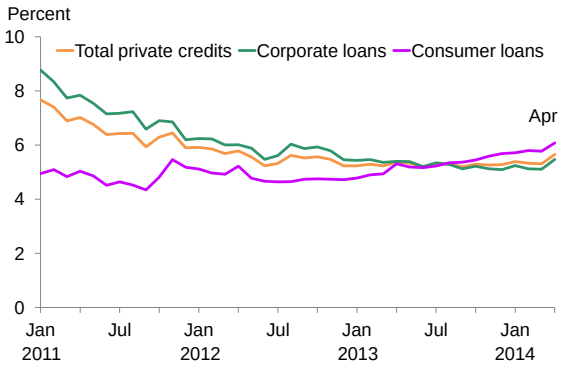
upcoming uncertainties as reflected by the increase in provisioning for loss and doubtful loans.

Commercial banks continued to pose strong profitably in 2014 Q1. Though operating profit declined slightly due to net interest income which decreased in line with the downward trend of interest rates and the slowdown in private credits, reduction in provisioning for loss and doubtful loans which followed a period of significant increases, led to a small rise in net profit from 49.3 billion baht at the end of last quarter to 50.5 billion baht this quarter. **(Table 3.1)**

Stability of financial institutions remained sound overall. The capital adequacy ratio continued to be high at 15.5 percent despite a marginal decline from 15.7 percent at the end of last quarter. However, despite high overall credit quality as reflected by the NPL ratio of 2.4 percent, signs of deterioration were present for some groups namely auto leasing, credit card, and other personal loans. In this connection, the delinquency and NPL ratio of consumer loans climbed from 5.4 percent at the end of 2013 Q3 to 5.8 percent at the end of 2014 Q1. **(Chart 3.12)**

Nonetheless, commercial banks already stepped up their provisioning for loss and doubtful loans to prepare for upcoming economic uncertainties. In this regard, the ratio of actual loan loss provision to regulatory loan loss provision continued the upward trend to register at 169.8 at the end of 2014 Q1.

Chart 3.12 Delinquency and NPL ratio



Source: Bank of Thailand

3.3 Non-financial sectors

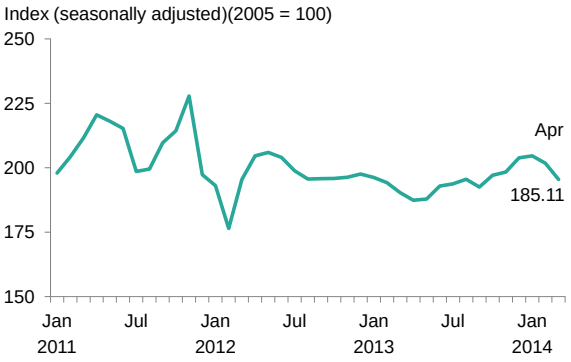
Stability of non-financial sectors was subjected to greater fragility resulting from the econommic slowdown. Such outlook was reflected by deterioration in household income and corporate profitabiity. Activities in the real estate sector were also limited. However, the impact was well contained and not yet systemic. Important risks to be monitored in the periods ahead included clarity on political development and government policies which could affect confidence, private investment and consumption.

Household sector

The economic slowdown subjected households to greater fragility as reflected by deterioration in income and debt servicing ability. However, household debt remained on a decelerating trend thereby reducing some concerns over reoccurrence of indebtedness.

Overall employment conditions were strong where the unemployment rate in 2014 Q1 remained low at 0.9 percent. Nonetheless, household income declined due to the decrease in farm income in line with contractions in prices of major crops including rice and rubber. Moreover, the number of O/T (> 50 hours of work per week) workers in the non-farm sector also declined in this quarter. **(Charts 3.13 and 3.14)** The decline in household income could affect debt servicing ability, especially for households in the low-income group with higher debt service burdens compared to other groups. Thus, households were subjected to greater fragility during the periods of economic slowdown. In this regard, signs of deterioration in credit quality already began to show whereby the

Chart 3.13 Farm income



Source: Office of Agricultural Economics and calculation by Bank of Thailand

Chart 3.14 Number of O/T workers in non-farm sector* (>50 hours per week)



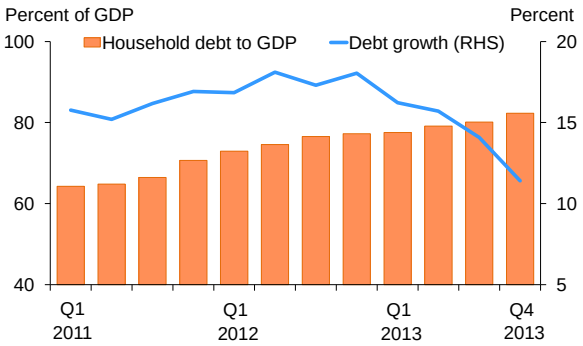
Note: seasonally adjusted, 3-month moving average
Source: National Statistics Office

delinquency and NPL ratio of consumer loans edged up slightly from 5.7 percent at the end of 2013 to 5.8 percent at the end of 2014 Q1. Most of the increase in the delinquency and NPL ratio was mainly attributed to deterioration in auto leasing and other personal loans. **(Table 3.1)**

However, growth in household debt, as reflected by financial institutions' consumer credits, continued to decelerate from 14.1 percent at the end of 2013 Q3 to 11.4 percent at the end of the 2013**. (Chart 3.15)** The slowdown in household debt could be explained by 1) households' more cautious behavior towards spending and borrowing; and 2) financial institutions' tightening of credit standards for households. Subsequently, concerns over reoccurrence of household indebtedness eased somewhat. Moreover, household liquidity remained stable overall as reflected by the ratio of households' financial assets to household debt which continued to be at 2 at the end of 2013. **(Chart 3.16)** This level of liquidity was judged adequate to absorb short-term risks stemming from the economic slowdown.

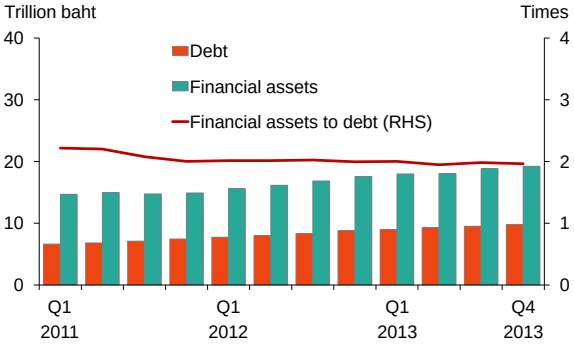
Looking ahead, development of the Thai economy in the period of greater political clarity must still be monitored as it would directly affect future income and debt servicing ability of households along with confidence and private consumption.

Chart 3.15 Ratio of household debt* to GDP



Note: *Loans to households from financial institutions
Source: Bank of Thailand

Chart 3.16 Ratio of financial assets to debt*



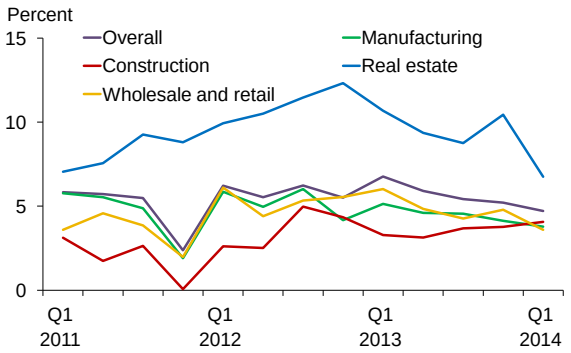
Note: *Loans to households from financial institutions
Source: Bank of Thailand

Corporate sector

The economic slowdown and dampened consumer confidence led to a continuous decline in corporate profitability. However, debt servicing ability and liquidity was well maintained, overall.

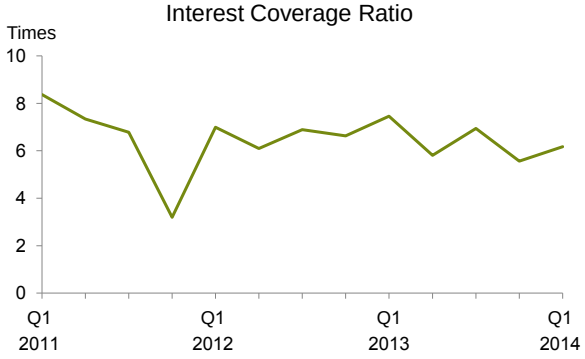
Corporate profitability, as reflected by the Net Profit Margin (NPM) of companies listed on

Chart 3.17 Net Profit Margin (NPM) of non-financial companies listed on the stock exchange*



Note: *Median
Sources: Stock Exchange of Thailand and calculations by Bank of Thailand

Chart 3.18 Corporate debt servicing ability
Interest Coverage Ratio



Note: *Median
Sources: Stock Exchange of Thailand and calculation by Bank of Thailand

the Stock Exchange of Thailand, continued to decline from 5.2 percent in 2013 Q4 to 4.7 percent in 2014 Q1. **(Chart 3.17)** The decrease in corporate profitability owed mainly to declining sales in tandem with the slowdown in the economy. However, debt servicing ability and liquidity was well maintained where the Interest Coverage Ratio (ICR) continued to increase from 5.6 in 2013 Q4 to 6.2 in 2014 Q1, in part as a result of the downward trend of interest rates. **(Chart 3.18)** Meanwhile, the Current Ratio (CR) adjusted upwards overall and indebtedness, as reflected by the Debt to Equity (D/E) ratio, stabilized at 0.8.

However, SMEs were rather significantly impacted by the economic slowdown whereby affected sectors included tourism-related sectors and construction sector which was subjected to delays in many government projects. Given that commercial banks promptly stepped in to help customers who had high business potential but were affected by short-term risks, overall credit quality did not worsen by much. **(Chart 3.12)**

Moreover, it was expected that resolution of the political situation coupled with continuity in government operations and greater clarity on stimulus plans would help shore up private sector confidence and improve corporate stability in the periods ahead.

Real estate sector

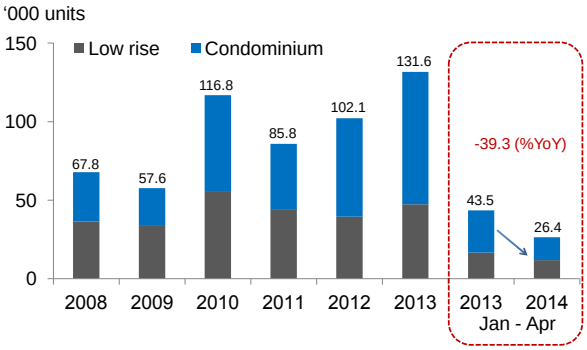
Real estate activities in Bangkok and its vicinities slowed down in line with economic and political developments as all concerned parties adjusted for potential risks. Nonetheless, future economic outlook remained to be closely monitored as it could affect households' purchasing power.

Since December 2013 onwards, the real estate sector began to slowdown after having accelerated notably in the middle of the year. Moreover, there were various negative factors affecting the sector including the economic slowdown and the elevated household debt which resulted in lower households' purchasing power. In addition, uncertain and delayed investment in the government's large infrastructural projects also dampened consumer confidence. Together, all these factors led to postponement of purchasing decisions and subsequently demand for real estate. In this connection, unit reservation rate in April 2014 stood at 17 percent, moderating steadily from 37 percent in November 2013, reflecting a significant slowdown in the real estate market.

The increase in risks caused buyers, developers and financial institutions to make necessary adjustments. Buyers became more cautious in their spending and developers postponed new launches, especially in case of condominium. In this regard, the number of new launches during the first four months of 2014 contracted by 39.3 percent from the same period last year. **(Chart 3.19)** Furthermore, some developers also adjusted by choosing to launch smaller projects to help stimulate sales and expedite construction and delivery of units in order to manage liquidity. Promotions were also introduced for previously launched projects including the zero transfer fee option to boost demand.

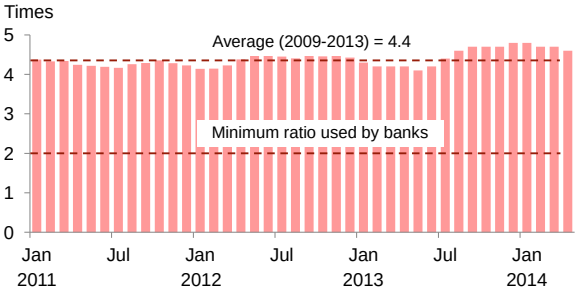
In April 2014, the Debt Service Coverage Ratio (DSCR) of buyers stood at 4.6, declining marginally from 4.8 in December 2013. **(Chart 3.20)** Thus, financial institutions remained strict in their credit extension and new real estate credits during the first four months of the year contracted

Chart 3.19 Number of new launches in Bangkok and its vicinity*



Source: Agency for Real Estate Affairs (AREA) and calculations by Bank of Thailand

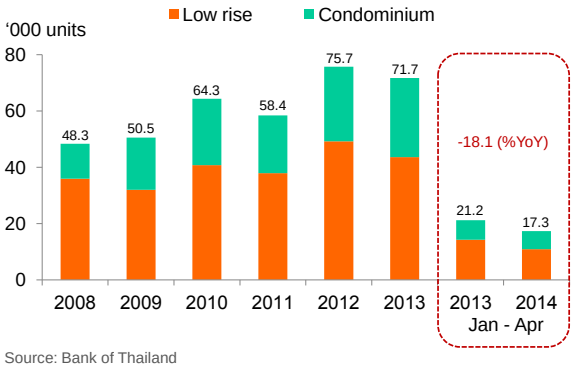
Chart 3.20 Debt Service Coverage Ratio (DSCR)



Note: (1) DSCR = monthly income/monthly debt payment (principal and interest)
(2) Calculated for new mortgages in Bangkok and its vicinity
(3) 50th percentile (3-month moving average)
(4) Includes only debt services for new mortgages by commercial banks

Source: Bank of Thailand

Chart 3.21 Commercial banks' new mortgage loans
(Bangkok and its vicinities)



Source: Bank of Thailand

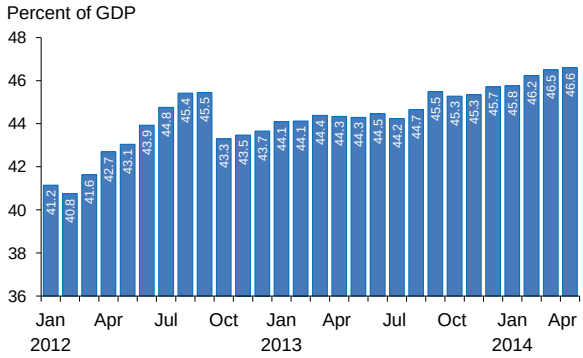
by 18.1 percent from the same period last year. **(Chart 3.21)**

Stability of the real estate sector was dented overall though it remained able to absorb upcoming risks. Such risk absorption ability could be reflected by satisfactory credit quality for both pre-finance and post-finance credits.

Fiscal sector

Stability of the fiscal sector continued to be sound though the ratio of public debt to GDP edged up slightly from the end of 2013 Q4. Looking ahead, however, the sector was subjected to risks from the structural imbalance between revenue and expenditure. It was expected that the situation could improve given tangible fiscal reform efforts, particularly to address structural impediments in order to promote fiscal stability and sustainability in the long-term.

Chart 3.22 Public debt to GDP



Note: Fiscal year
Source: Public Debt Management Office

Stability of the fiscal sector continued to be sound though the ratio of public debt to GDP edged up slightly from 45.7 percent in 2013 Q4 to 46.6 percent in April 2013. **(Chart 3.22)** The increase in public debt was due mainly to debt accumulation to finance the budget deficit. Moreover, additional borrowings to fund the rice pledging scheme would also take public debt slightly higher in June. However, it was expected that concerns over stability of the fiscal sector would ease somewhat thanks to the abolition of some quasi-fiscal programs such as the rice pledging scheme.

However, stability of the fiscal sector in the long-term was still subjected to the structural imbalance between revenue and expenditure. While government revenue continued to trend downwards owing to various tax measures,

expenditure was on the rise especially social expenditure. In this regard, structural reform of the fiscal sector would be key in preparing for Thailand's progression towards an aging society and maintaining stability in the long-term. Suggestions included 1) tax reform to enhance efficiency in revenue collection and broadening of the income tax base; and 2) reform to enhance efficiency in expenditure by reducing unnecessary subsidies and increasing needed infrastructural investments.

Table 3.1 Sectoral Indicators for assessing risks and vulnerabilities to financial stability

Indicators	2013	2013			2014			
		H1	Q3	Q4	Q1	Mar	Apr	May
1. Financial markets sector								
Bond market								
Bond spread (10 years–2 years)	1.0	0.8	1.1	1.2	1.5	1.5	1.4	1.4
Equity market								
SET Index (End of period)	1,298.7	1,451.9	1,383.2	1,298.7	1,376.3	1,376.3	1,414.9	1415.7
Actual volatility (SET Index)[1/]	19.8	20.8	26.1	19.8	18.0	12.9	10.2	11.0
Price to Earnings Ratio (times)	16.6	17.8	15.7	15.2	14.8	15.3	16.4	16.4
FX market								
Actual volatility (baht) (% annualize)[2/]	6.2	6.1	7.9	4.4	4.6	5.0	3.8	3.6
Nominal effective exchange rate (NEER)	107.0	108.9	105.6	104.6	102.7	103.3	103.2	102.2
Real effective exchange rate (REER)	106.5	108.5	105.1	103.9	101.8	102.5	102.4	n.a.
2. Financial institutions sector[3/]								
Minimum lending rate (MLR)[4/]	6.8	7.0	7.0	6.8	6.8			
12-month fixed deposit rate[4/]	2.2	2.4	2.5	2.2	1.7			
Capital adequacy								
Regulatory capital to risk-weighted asset (%)	15.7	15.7	16.5	15.7	15.5			
Earnings and profitability								
Net profit (billion baht)	214.9	58.1	54.4	49.3	50.5			
Return on assets (ROA)	1.41	1.52	1.49	1.41	1.35			
Liquidity								
Loan to deposit and B/E	96.6	95.3	95.5	96.6	95.9			
3. Household sector								
Financial assets to debt								
NPL and delinquency ratio (%)	2.0	1.9	2.0	2.0	n.a.			
Thai commercial banks :								
Consumer loans	5.7	5.2	5.4	5.7	5.8			
Mortgage loans	3.9	3.7	3.7	3.9	3.8			
Auto leasing	9.4	8.5	8.8	9.4	9.9			
Credit cards	4.7	4.6	4.9	4.7	5.3			
Other personal loans	4.6	3.9	4.2	4.6	4.9			
4. Non-financial corporate sector [5/]								
Operating profit margin (%)	5.8	6.3	5.4	5.2	4.7			
Debt to equity ratio (times)	0.8	0.8	0.8	0.8	0.8			
Income coverage ratio (times)	6.4	6.6	6.9	5.6	6.2			
Current ratio (times)	1.5	1.5	1.5	1.5	1.6			

Table 3.1 Sectoral Indicators for assessing risks and vulnerabilities to financial stability (cont.)

Indicators	2013	2013			2014			
		H1	Q3	Q4	Q1	Mar	Apr	May
5. Real estate sector								
The number of approved mortgages from banks (Bangkok and its vicinity)	71,701	34,936	17,176	19,609	12,880	5,704	4,460	n.a.
Single-detached and semi-detached houses	18,353	9,581	4,320	4,452	3,331	1,574	1,149	n.a.
Townhouses and commercial buildings	25,261	13,052	5,761	6,448	4,784	2,113	1,619	n.a.
Condominiums	28,087	12,303	7,075	8,709	4,765	2,017	1,692	n.a.
The number of new openings (Bangkok and its vicinity)	131,550	64,760	33,953	32,837	20,407	7,880	5,999	n.a.
Single-detached and semi-detached houses	17,226	8,901	4,171	4,154	3,422	1,471	2,412	n.a.
Townhouses and commercial buildings	30,074	15,394	7,208	7,472	5,125	1,365	874	n.a.
Condominiums	84,250	40,465	22,574	21,211	11,860	5,044	2,713	n.a.
Housing price index[6/]								
Single-detached houses (including land)	112.9	110.2	114.5	112.9	114.7	114.7	115.6	n.a.
Townhouses (including land)	124.3	118.7	123.8	124.3	125.7	125.7	127.1	n.a.
Condominiums	142.0	139.5	144.4	142.0	146.2	146.2	148.6	n.a.
Land	146.2	133.4	137.4	146.2	145.9	145.9	148.3	n.a.
6. Fiscal sector								
Public debt to GDP (%)	45.7	44.5	45.5	45.7	46.5	46.5	46.6	n.a.

[1/] Daily volatility (using exponentially weighted moving average method)
[2/] Annualized standard deviation of return
[3/] Based on data of all commercial banks
[4/] Average value of 4 largest Thai commercial banks
[5/] Only listed companies on SET (median)
[6/] Based on data of new approvals by commercial banks using hedonic regression method (January 2010 = 100)
(Due to the fact that the structure of the housing market has changed significantly, the Bank of Thailand is currently improving the price index to better reflect the structure change)